

READING 40 & 41

CODE OF ETHICS AND STANDARDS OF PROFESSIONAL CONDUCT AND GUIDANCE FOR STANDARDS I–VII

EXAM FOCUS

In addition to reading this review of the ethics material, we strongly recommend that all candidates for the CFA® examination read the official CFA Institute curriculum books for ethics; specifically, the included examples and practice questions. The complete *Code and Standards* are reprinted in the CFA Program Curriculum.

MODULE 40.1: INTRODUCTION TO THE CODE AND STANDARDS



Video covering this content is available online.

LOS 40.a: Describe the six components of the Code of Ethics and the seven Standards of Professional Conduct.

The Code of Ethics

Members of CFA Institute (including CFA charterholders) and candidates for the CFA designation (“Members and Candidates”) must:¹

- Act with integrity, competence, diligence, and respect, and in an ethical manner with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
- Place the integrity of the investment profession and the interests of clients above their own personal interests.
- Use reasonable care and exercise independent professional judgment when conducting investment analysis, making investment recommendations, taking investment actions, and engaging in other professional activities.
- Practice and encourage others to practice in a professional and ethical manner that will reflect credit on themselves and the profession.
- Promote the integrity and viability of the global capital markets for the ultimate benefit of society.

- Maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals.

The Standards of Professional Conduct

- I. Professionalism
- II. Integrity of Capital Markets
- III. Duties to Clients
- IV. Duties to Employers
- V. Investment Analysis, Recommendations, and Actions
- VI. Conflicts of Interest
- VII. Responsibilities as a CFA Institute Member or CFA Candidate

LOS 40.b: Explain the ethical responsibilities required of CFA Institute members and candidates in the CFA Program by the Code and Standards.



PROFESSOR'S NOTE

The 12th Edition (2024) of the Standards of Practice Handbook contains the current version of the CFA Institute Code of Ethics and Standards of Professional Conduct. This is the version of the CFA ethics that will be applicable to the 2025 exam.

Standards of Professional Conduct²

I. PROFESSIONALISM

- A. **Knowledge of the Law.** Members and Candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute *Code of Ethics* and *Standards of Professional Conduct*) of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.
- B. **Independence and Objectivity.** Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.
- C. **Misrepresentation.** Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.
- D. **Misconduct.** Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.
- E. **Competence.** Members and Candidates must act with and maintain the competence necessary to fulfill their professional responsibilities.



PROFESSOR'S NOTE

Standard I(E) (Competence) is new for the 2025 exam, reflecting the revised 12th Edition (2024) of the CFA Institute's Standards of Practice Handbook.

II. INTEGRITY OF CAPITAL MARKETS

- A. **Material Nonpublic Information.** Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.
- B. **Market Manipulation.** Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

III. DUTIES TO CLIENTS

- A. **Loyalty, Prudence, and Care.** Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.
- B. **Fair Dealing.** Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making investment recommendations, taking investment action, or engaging in other professional activities.
- C. **Suitability.**
 - 1. When Members and Candidates are in an advisory relationship with a client, they must:
 - a) Make a reasonable inquiry into a client's or prospective clients' investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly.
 - b) Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
 - c) Judge the suitability of investments in the context of the client's total portfolio.
 - 2. When Members and Candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.
- D. **Performance Presentation.** When communicating investment performance information, Members or Candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.
- E. **Preservation of Confidentiality.** Members and Candidates must keep information about current, former, and prospective clients confidential unless:
 - 1. The information concerns illegal activities on the part of the client or prospective client,
 - 2. Disclosure is required by law, or
 - 3. The client or prospective client permits disclosure of the information.

IV. DUTIES TO EMPLOYERS

- A. **Loyalty.** In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.
- B. **Additional Compensation Arrangements.** Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

- C. **Responsibilities of Supervisors.** Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

V. INVESTMENT ANALYSIS, RECOMMENDATIONS, AND ACTIONS

A. **Diligence and Reasonable Basis.** Members and Candidates must:

1. Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
2. Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

B. **Communication with Clients and Prospective Clients.** Members and Candidates must:

1. Disclose to clients and prospective clients the nature of the services provided, along with information about the costs to the client associated with those services.



PROFESSOR'S NOTE

This first sub-part under Standard V(B) (Communication with Clients and Prospective Clients), about disclosing the nature and cost of services, is new for the 2025 exam.

2. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.
3. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
4. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.
5. Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

C. **Record Retention.** Members and Candidates must develop and maintain appropriate records to support their investment analysis, recommendations, actions, and other investment-related communications with clients and prospective clients.

VI. CONFLICTS OF INTEREST

A. **Avoid or Disclose Conflicts.** Members and Candidates must avoid or make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.



PROFESSOR'S NOTE

For the 2025 exam, the name of Standard VI(A) has changed from “Disclose Conflicts” to “Avoid or Disclose Conflicts”. Previously there was no mention of *avoiding* conflicts of interest in the standard.

B. **Priority of Transactions.** Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

C. **Referral Fees.** Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received by, or paid to, others for the recommendation of products or services.

VII. RESPONSIBILITIES AS A CFA INSTITUTE MEMBER OR CFA CANDIDATE

A. **Conduct as Participants in CFA Institute Programs.** Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.

B. **Reference to CFA Institute, the CFA Designation, and the CFA Program.** When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program, Members and Candidates must not misrepresent or exaggerate the meaning or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA Program.

MODULE 41.1: STANDARDS I(A) AND I(B)



Video covering this content is available online.

LOS 41.a: Demonstrate a thorough knowledge of the CFA Institute Code of Ethics and Standards of Professional Conduct by applying the Code and Standards to specific situations.

LOS 41.b: Recommend practices and procedures designed to prevent violations of the Code of Ethics and Standards of Professional Conduct.

I Professionalism

I(A) Knowledge of the Law. Members and Candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute Code of Ethics and Standards of Professional Conduct) of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.



PROFESSOR'S NOTE

While we use the term “members” in the following, all of the Standards apply to candidates as well.

Guidance—Code and Standards vs. Local Law

Members must know the laws and regulations relating to their professional activities in all countries in which they conduct business. Members must comply with applicable laws and regulations relating to their professional activity. Do not violate Code or Standards even if the activity is otherwise legal. Always adhere to the most strict rules and requirements (law or CFA Institute Standards) that apply.

Guidance—Participation or Association With Violations by Others

Members should dissociate, or separate themselves, from any ongoing client or employee activity that is illegal or unethical, even if it involves leaving an employer (an extreme case). While a member may confront the involved individual first, he must approach his supervisor or compliance department. Inaction with continued association may be construed as knowing participation.

Recommended Procedures for Compliance—Members

- Members should have procedures to keep up with changes in applicable laws, rules, and regulations.
- Compliance procedures should be reviewed on an ongoing basis to ensure that they address current law, CFA Institute Standards, and regulations.
- Members should maintain current reference materials for employees to access in order to keep up to date on laws, rules, and regulations.
- Members should seek advice of counsel or their compliance department when in doubt.
- Members should document any violations when they disassociate themselves from prohibited activity and encourage their employers to bring an end to such activity.
- There is no requirement under the Standards to report violations to governmental authorities, but this may be advisable in some circumstances and required by law in others.
- Members are strongly encouraged to report other members' violations of the Code and Standards.

Recommended Procedures for Compliance—Firms

Members should encourage their firms to:

- Develop and/or adopt a code of ethics.
- Make available to employees information that highlights applicable laws and regulations.
- Establish written procedures for reporting suspected violation of laws, regulations, or company policies.

Members who supervise the creation and maintenance of investment services and products should be aware of and comply with the regulations and laws regarding such services and products both in their country of origin and the countries where they will be sold.

Application of Standard I(A) Knowledge of the Law³

Example 1:

An analyst working in the underwriting department of a brokerage firm discovers erroneous financial statements that inflated earnings. These statements are with the regulator in preparation for an IPO. The firm's legal counsel suggests that the regulator would have no idea that the analyst was aware of the falsehood, and hence the analyst can ignore it.

Comment:

While advice from counsel is recommended, members should not rely on advice that they know (or should know) is illegal. The member should obtain independent legal advice to determine if the regulator should be informed.

Example 2:

A member's firm advertises firm performance using a composite that excludes accounts that have left the firm. This leads to inflated performance figures.

Comment:

Misrepresenting performance is a violation of the Code and Standards. The member should immediately dissociate from the activity. Additionally, the member should inform their supervisor and compliance officer. If the firm does nothing, the member should seek other employment.

Example 3:

An employee of an investment bank is working on an underwriting and finds out the issuer has altered their financial statements to hide operating losses in one division. These misstated data are included in a preliminary prospectus that has already been released.

Comment:

The employee should report the problem to his supervisors. If the firm doesn't get the misstatement fixed, the employee should dissociate from the underwriting and, further, seek legal advice about whether he should undertake additional reporting or other actions.

Example 4:

Laura Jameson, a U.S. citizen, works for an investment advisor based in the United States and works in a country where investment managers are prohibited from participating in IPOs for their own accounts.

Comment:

Jameson must comply with the strictest requirements among U.S. law (where her firm is based), the CFA Institute Code and Standards, and the laws of the country where she is doing business. In this case that means she must not participate in any IPOs for her personal account.

Example 5:

A junior portfolio manager suspects that a broker responsible for new business from a foreign country is being allocated a portion of the firm's payments for third-party research and suspects that no research is being provided. He believes that the research payments may be inappropriate and unethical.

Comment:

He should follow his firm's procedures for reporting possible unethical behavior and try to get better disclosure of the nature of these payments and any research that is being provided.

I(B) Independence and Objectivity. Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

Guidance

Do not let the investment process be influenced by any external sources. Modest gifts are permitted. Allocation of shares in oversubscribed IPOs to personal accounts is NOT permitted. Distinguish between gifts from clients and gifts from entities seeking influence to the detriment of the client. Gifts must be disclosed to the member's employer in any case, either prior to acceptance if possible, or subsequently.

Guidance—Investment Banking Relationships

Do not be pressured by sell-side firms to issue favorable research on current or prospective investment-banking clients. It is appropriate to have analysts work with investment bankers in "road shows" only when the conflicts are adequately and effectively managed and disclosed. Be sure there are effective "firewalls" between research/investment management and investment banking activities.

Guidance—Public Companies

Analysts should not be pressured to issue favorable research by the companies they follow. Do not confine research to discussions with company management, but rather use a variety of sources, including suppliers, customers, and competitors.

Guidance—Buy-Side Clients

Buy-side clients may try to pressure sell-side analysts. Portfolio managers may have large positions in a particular security, and a rating downgrade may have an effect on the portfolio performance. As a portfolio manager, there is a responsibility to respect and foster intellectual honesty of sell-side research.

Guidance—Fund Manager and Custodial Relationships

Members responsible for selecting outside managers should not accept gifts, entertainment, or travel that might be perceived as impairing their objectivity.

Guidance—Performance Measurement and Attribution

Performance analysts may experience pressure from investment managers who have produced poor results or acted outside their mandate. Members and candidates who analyze performance must not let such influences affect their analysis.

Guidance—Manager Selection

Members and candidates must exercise independence and objectivity when they select investment managers. They should not accept gifts or other compensation that could be seen as influencing their hiring decisions, nor should they offer compensation when seeking to be hired as investment managers. The responsibility to maintain independence and objectivity applies to all a member or candidate's hiring and firing decisions, not just those that involve investment management.

Guidance—Credit Rating Agencies

Members employed by credit rating firms should make sure that procedures prevent undue influence by the firm issuing the securities. Members who use credit ratings should

be aware of this potential conflict of interest and consider whether independent analysis is warranted.

Guidance—Issuer-Paid Research

Remember that this type of research is fraught with potential conflicts. Analysts' compensation for preparing such research should be limited, and the preference is for a flat fee, without regard to conclusions or the report's recommendations.

Guidance—Travel

Best practice is for analysts to pay for their own commercial travel when attending information events or tours sponsored by the firm being analyzed.

Recommended Procedures for Compliance

- Protect the integrity of opinions—make sure they are unbiased.
- Create a restricted list and distribute only factual information about companies on the list.
- Restrict special cost arrangements—pay for one's own commercial transportation and hotel; limit use of corporate aircraft to cases in which commercial transportation is not available.
- Limit gifts—token items only. Customary, business-related entertainment is okay as long as its purpose is not to influence a member's professional independence or objectivity. Firms should impose clear value limits on gifts.
- Restrict employee investments in equity IPOs and private placements. Require pre-approval of IPO purchases.
- Review procedures—have effective supervisory and review procedures.
- Firms should have formal written policies on independence and objectivity of research.
- Firms should appoint a compliance officer and provide clear procedures for employee reporting of unethical behavior and violations of applicable regulations.

Application of Standard I(B) Independence and Objectivity

Example 1:

An analyst joins a group of his peers in a tour of a company's facilities. Due to remoteness of the facilities, the company arranges for chartered group flights and for accommodations in the only hotel near the company site. The company pays for all the expenses.

Comment:

Members should comply with Standard I(B) by avoiding even the appearance of a conflict of interest, even if they are not necessarily violating Standard I(B). In general, when allowing companies to pay for travel and/or accommodations, members must use their judgment to ensure that the member's independence and objectivity is not compromised. The itinerary required chartered flights, which the member was not expected to pay for. These arrangements are not unusual and did not violate Standard I(B) so long as the member's independence and objectivity were not compromised.

Example 2:

Maneka Fritz is an equity analyst covering the retail industry. She has concluded that the stock of Outlets “R” Us is overpriced at its current level, but wants to maintain the good relationship that her firm has with the company.

Comment:

Fritz’s analysis of the company must be objective and based solely on consideration of company fundamentals.

Example 3:

An analyst in the corporate finance department promises a client that her firm will provide full research coverage of the issuing company after the offering.

Comment:

This is not a violation, but she cannot promise favorable research coverage. Research must be objective and independent.

Example 4:

An employee’s boss tells him to assume coverage of a stock and maintain a buy rating.

Comment:

Research opinions and recommendations must be objective and arrived at independently. Following the boss’s instructions would be a violation if the analyst determined a buy rating is inappropriate.

Example 5:

A money manager receives a gift of significant value from a client as a reward for good performance over the prior period and informs her employer of the gift.

Comment:

No violation here because the gift is from a client and is not based on performance going forward, but the gift must be disclosed to her employer. If the gift were contingent on future performance, the money manager would have to obtain permission from her employer. The reason for both the disclosure and permission requirements is that the employer must ensure that the money manager does not give advantage to the client giving or offering additional compensation, to the detriment of other clients.

Example 6:

An analyst enters into a contract to write a research report on a company, paid for by that company, for a flat fee plus a bonus based on attracting new investors to the security.

Comment:

This is a violation because the compensation structure makes total compensation depend on the conclusions of the report (a favorable report will attract investors and increase compensation). Accepting the job for a flat fee that does not depend on the report’s conclusions or its impact on share price is permitted, with proper disclosure of the fact that the report is funded by the subject company.

Example 7:

A trust manager at a bank selects mutual funds for client accounts based on the profits from “service fees” paid to the bank by the mutual fund sponsor.

Comment:

This is a violation because the trust manager has allowed the fees to affect his objectivity.

Example 8:

An analyst performing sensitivity analysis for a security does not use only scenarios consistent with recent trends and historical norms.

Comment:

This is a good thing and is not a violation.

Example 9:

A member whose firm is seeking to become an investment manager for a labor union contributes a large sum to the union leader’s re-election campaign. After the union hires the member’s firm, the member continues to spend significant amounts on entertainment for the union leader and his family.

Comment:

Offering gifts or other compensation to influence a decision to hire an investment manager is a violation of Standard I(B).

Example 10:

A member who is a performance analyst notices that one of her firm’s top investment managers has changed his composite construction, removing a poorly performing large account and placing it in a different composite. Knowing that the investment manager is important to the firm and a close friend of the firm’s CEO, the member does not disclose this change in her performance report.

Comment:

The member violated Standard I(B) by failing to exercise independence and objectivity in her analysis. Altering composites to conceal poor performance also violates Standard III(D) Performance Presentation and may violate Standard I(C) Misrepresentation.

**MODULE QUIZ 40.1, 41.1**

1. While working on a new underwriting project, Jean Brayman, CFA, has just received information from her client that leads her to believe that the firm’s financial statements in the registration statement overstate the firm’s financial position. Brayman should:
 - A. report her finding to the appropriate governmental regulatory authority.
 - B. immediately dissociate herself from the underwriting in writing to the client.
 - C. seek advice from her firm’s compliance department as to the appropriate action to take.
2. Karen Jones, CFA, is an outside director for Valley Manufacturing. At a director’s meeting, Jones finds out that Valley Corp. has made several contributions to foreign politicians that she suspects were illegal. Jones checks with her firm’s legal counsel and determines that the contributions were indeed illegal. At the next board meeting, Jones urges the board to

disclose the contributions. The board, however, votes not to make a disclosure. Jones' *most appropriate* action would be to:

- A. protest the board's actions in writing to the executive officer of Valley.
 - B. resign from the board and seek legal counsel as to her legal disclosure requirements.
 - C. inform her supervisor of her discovery and cease attending meetings until the matter is resolved.
3. Which of the following statements is *least likely* correct? A member or candidate:
- A. can participate or assist in a violation simply by having knowledge of the violation and not taking action to stop it.
 - B. is held responsible for participating in illegal acts in instances where violation of the law is evident to those who know or should know the law.
 - C. must report evidence of legal violations to the appropriate governmental or regulatory organization.
4. Jack Schleifer, CFA, is an analyst for Brown Investment Managers (BIM). Schleifer has recently accepted an invitation to visit the facilities of ChemCo, a producer of chemical compounds used in a variety of industries. ChemCo offers to pay for Schleifer's accommodations in a penthouse suite at a luxury hotel and allow Schleifer to use the firm's private jet to travel to its three facilities located in New York, Hong Kong, and London. In addition, ChemCo offers two tickets to a formal high-society dinner in New York and a small desk clock with the ChemCo logo. Schleifer declines to use ChemCo's corporate jet or to allow the firm to pay for his accommodations but accepts the clock and the tickets to the dinner (which he discloses to his employer) since he will be able to market his firm's mutual funds to other guests at the dinner. Has Schleifer violated any CFA Institute Standards of Professional Conduct?
- A. Yes.
 - B. No, since he is using the gifts accepted to benefit his employer's interests.
 - C. No, since the gifts he accepted were fully disclosed in writing to his employer.
5. Based on the Standards of Professional Conduct, a financial analyst is *least likely* required to:
- A. report to his employer the receipt of gifts and additional compensation from clients.
 - B. disclose the value of consideration to be received for referrals.
 - C. pay for commercial transportation and lodging while visiting a company's headquarters.

MODULE 41.2: STANDARDS I(C), I(D), AND I(E)



Video covering
this content is
available online.

I(C) Misrepresentation. Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

Guidance

Trust is a foundation in the investment profession. Do not make any misrepresentations or give false impressions. This includes oral, electronic, and social media communications. Misrepresentations include guaranteeing investment performance and plagiarism. Plagiarism encompasses using someone else's work (reports, forecasts, models, ideas, charts, graphs, and spreadsheet models) without giving them credit. Knowingly omitting information that could affect an investment decision or performance evaluation is considered misrepresentation.

Models and analysis developed by others at a member's firm are the property of the firm and can be used without attribution. A report written by another analyst employed by the

firm cannot be released as another analyst's work.

Recommended Procedures for Compliance

A good way to avoid misrepresentation is for firms to provide employees who deal with clients or prospects a written list of the firm's available services and a description of the firm's qualifications. Employee qualifications should be accurately presented as well. To avoid plagiarism, maintain records of all materials used to generate reports or other firm products and properly cite sources (quotes and summaries) in work products. Information from recognized financial and statistical reporting services need not be cited.

Members should encourage their firms to establish procedures for verifying marketing claims of third parties whose information the firm provides to clients.

Application of Standard I(C) Misrepresentation

Example 1:

A member makes an error in preparing marketing materials and misstates the amount of assets his firm has under management.

Comment:

The member must attempt to stop distribution of the erroneous material as soon as the error is known. Simply making the error unintentionally is not a violation, but continuing to distribute material known to contain a significant misstatement of fact would be.

Example 2:

The marketing department states in sales literature that an analyst has received an MBA degree, but he has not. The analyst and other members of the firm have distributed this document for years.

Comment:

The analyst has violated the Standards, as he should have known of this misrepresentation after having distributed and used the materials over a period of years.

Example 3:

A member describes an interest-only collateralized mortgage obligation as guaranteed by the U.S. government because it is a claim against the cash flows of a pool of guaranteed mortgages, although the payment stream and the market value of the security are not guaranteed.

Comment:

This is a violation because of the misrepresentation.

Example 4:

A member describes a bank CD as "guaranteed."

Comment:

This is not a violation as long as the limits of the guarantee provided by the Federal Deposit Insurance Corporation are not exceeded and the nature of the guarantee is clearly

explained to clients.

Example 5:

A member uses definitions he found online for such terms as variance and coefficient of variation in preparing marketing material.

Comment:

Even though these are standard terms, using the work of others word-for-word is plagiarism.

Example 6:

A candidate reads about a research paper in a financial publication and includes the information in a research report, citing the original research report but not the financial publication.

Comment:

To the extent that the candidate used information and interpretation from the financial publication without citing it, the candidate is in violation of the Standard. The candidate should either obtain the report and reference it directly or, if he relies solely on the financial publication, should cite both sources.

I(D) Misconduct. Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

Guidance

CFA Institute discourages unethical behavior in all aspects of members' and candidates' lives. Do not abuse CFA Institute's Professional Conduct Program by seeking enforcement of this Standard to settle personal, political, or other disputes that are not related to professional ethics.

Recommended Procedures for Compliance

Firms are encouraged to adopt these policies and procedures:

- Develop and adopt a code of ethics and make clear that unethical behavior will not be tolerated.
- Give employees a list of potential violations and sanctions, including dismissal.
- Check references of potential employees.

Application of Standard I(D) Misconduct

Example 1:

A member intentionally includes a receipt that is not in his expenses for a company trip.

Comment:

Because this act involves deceit and fraud and reflects on the member's integrity and honesty, it is a violation.

Example 2:

A member tells a client that he can get her a good deal on a car through his father-in-law, but instead gets her a poor deal and accepts part of the commission on the car purchase.

Comment:

The member has been dishonest and misrepresented the facts of the situation and has, therefore, violated the Standard.

I(E) Competence. Members and Candidates must act with and maintain the competence necessary to fulfill their professional responsibilities.

Guidance

Competence means having and maintaining the abilities, skills, and knowledge needed to perform a member or candidate's professional responsibilities. The nature of those abilities, skills, and knowledge depends on the specific responsibilities a member or candidate assumes. Although competence is necessary to succeed as a financial analyst, negative outcomes do not necessarily imply a lack of competence.

If a member or candidate accepts a new or unfamiliar professional role, it is the member or candidate's responsibility to develop the abilities, skills, and knowledge that the new role calls for.

This Standard *recommends, but does not require*, that members or candidates participate in continuing education.

Recommended Procedures for Compliance

- Participate in continuing education, professional development, or employer-provided training.
- Acquire professional designations.
- Attend relevant seminars or conferences.
- Participate in professional organizations.
- Engage in informal self-study.



MODULE QUIZ 41.2

1. Jamie Hutchins, CFA, is a portfolio manager for CNV Investments Inc. Over the years, Hutchins has made several poor personal investments that have led to financial distress and personal bankruptcy. Hutchins feels that her business partner, John Smith, is mostly to blame for her situation since "he did not invest enough money in her investment opportunities and caused them to fail." Hutchins reports Smith to CFA Institute claiming Smith violated the Code and Standards relating to misconduct. Which of the following statements is *most likely* correct?
 - A. By reporting Smith to CFA Institute, Hutchins has misused the Professional Conduct Program, thus violating the Code and Standards, but her poor investing and bankruptcy

- have not violated the Code and Standards.
- B. Hutchins's bankruptcy reflects poorly on her professional reputation and thus violates the Code and Standards, but her reporting of Smith does not.
- C. Hutchins's poor investing and bankruptcy, as well as her reporting of Smith, are both violations of the Standards.
2. In which of the following has the analyst *least likely* committed plagiarism?
- A. Julie Long takes performance projections and charts from a company she is researching, combines them with her own analysis, and publishes them under her own name.
- B. Bill Cooper finds a statistical table in the Federal Reserve Bulletin that supports the work he has done in his industry analysis and has his secretary include the table as part of his report without citing the source.
- C. Jan Niedfeldt gets a call from one of her fellow analysts stating that the analyst's research shows that XYZ Company is a buy. Niedfeldt calls up her major clients and tells them that her research shows XYZ is a buy.
3. Jamie Olson, CFA, has just started work as a trainee with Neuvo Management Corp., a small regional money management firm started six months ago. She has been told to make a few cold calls and round up some new clients. In which of the following statements has Olson *least likely* violated the Standards of Practice?
- A. "Sure, we can perform all the financial and investment services you need. We've consistently outperformed the market indexes and will continue to do so under our current management."
- B. "Sure, we can assist you with all the financial and investment services you need. If we don't provide the service in-house, we have arrangements with other full-service firms that I would be happy to tell you about."
- C. "Our firm has a long history of successful performance for our clients. While we can't guarantee future results, we do believe we will continue to benefit our clients."
4. Beth Bixby, CFA, uses a quantitative model to actively manage a portfolio of stocks with an objective of earning a greater return than the market. Over the last three years, the returns to a portfolio constructed using the model have been greater than the returns to the S&P index by between 2% and 4%. In promotional materials, Bixby states: "Through our complex quantitative approach, we select a portfolio that has similar risk to the S&P 500 Index but will receive a return between 2% and 4% greater than the index." This statement is:
- A. permissible since prior returns to the firm's model provide a reasonable and adequate basis for the promotional material.
- B. permissible since the statement describes the basic characteristics of the fund's risk and return objectives.
- C. not permissible since Bixby is misrepresenting the investment performance her firm can reasonably expect to achieve.
5. Josef Karloff, CFA, acts as liaison between Pinnacle Financial (an investment management firm) and Summit Inc. (an investment banking boutique specializing in penny stocks). When Summit underwrites an IPO, Karloff routinely has Pinnacle issue vague statements implying that the firm has cash flows, financial resources, and growth prospects that are better than is the case in reality. This action is a violation of the section of the Standards concerning:
- A. fair dealing.
- B. nonpublic information.
- C. misconduct.

MODULE 41.3: STANDARDS II(A) AND II(B)

II Integrity of Capital Markets



Video covering
this content is
available online.

II(A) Material Nonpublic Information. Members and Candidates who possess material nonpublic information that could affect the value of an investment must not act or cause others to act on the information.

Guidance

Information is “material” if its disclosure would impact the price of a security or if reasonable investors would want the information before making an investment decision. Ambiguous information, as far as its likely effect on price, may not be considered material. Information is “nonpublic” until it has been made available to the marketplace. An analyst conference call is not public disclosure. Selectively disclosing information by corporations creates the potential for insider-trading violations. The prohibition against acting on material nonpublic information extends to mutual funds containing the subject securities as well as related swaps and options contracts.

Some members and candidates may be involved in transactions during which they receive material nonpublic information provided by firms (e.g., investment banking transactions). Members and candidates may use the provided nonpublic information for its intended purpose, but must not use the information for any other purpose unless it becomes public information.

Guidance—Mosaic Theory

There is no violation when a perceptive analyst reaches an investment conclusion about a corporate action or event through an analysis of public information together with items of nonmaterial nonpublic information.

Guidance—Social Media

When gathering information from internet or social media sources, members and candidates need to be aware that not all of it is considered public information. Members and candidates should confirm that any material information they receive from these sources is also available from public sources, such as company press releases or regulatory filings.

Guidance—Industry Experts

Members and candidates may seek insight from individuals who have specialized expertise in an industry. However, they may not act or cause others to act on any material nonpublic information obtained from these experts until that information has been publicly disseminated.

Recommended Procedures for Compliance

Make reasonable efforts to achieve public dissemination of the information. Encourage firms to adopt procedures to prevent misuse of material nonpublic information. Use a “firewall” within the firm, with elements including:

- Substantial control of relevant interdepartmental communications, through a clearance area such as the compliance or legal department.
- Review employee trades—maintain “watch,” “restricted,” and “rumor” lists.

- Monitor and restrict proprietary trading while a firm is in possession of material nonpublic information.

Prohibition of all proprietary trading while a firm is in possession of material nonpublic information may be inappropriate because it may send a signal to the market. In these cases, firms should take the contra side of only unsolicited customer trades.

Application of Standard II(A) Material Nonpublic Information

Example 1:

A member's dentist, who is an active investor, tells the member that based on his research he believes that Acme, Inc., will be bought out in the near future by a larger firm in the industry. The member investigates and purchases shares of Acme.

Comment:

There is no violation here because the dentist had no inside information but has reached the conclusion on his own. The information here is not material because there is no reason to suspect that an investor would wish to know what the member's dentist thought before investing in shares of Acme.

Example 2:

A member received an advance copy of a stock recommendation that will appear in a widely read national newspaper column the next day and purchases the stock.

Comment:

A recommendation in a widely read newspaper column will likely cause the stock price to rise, so this is material nonpublic information. The member has violated the Standard.

Example 3:

A member trades based on information he gets by seeing an advance copy of an article that will be published in an influential magazine next week.

Comment:

This is a violation as this is nonpublic information until the article has been published.

II(B) Market Manipulation. Members and Candidates must not engage in practices that distort prices or artificially inflate trading volume with the intent to mislead market participants.

Guidance

This Standard applies to transactions that deceive the market by distorting the price-setting mechanism of financial instruments or by securing a controlling position to manipulate the price of a related derivative and/or the asset itself. Spreading false rumors is also prohibited.

Application of Standard II(B) Market Manipulation

Example 1:

A member is seeking to sell a large position in a fairly illiquid stock from a fund he manages. He buys and sells shares of the stock between that fund and another he also manages to create an appearance of activity and stock price appreciation, so that the sale of the whole position will have less market impact and he will realize a better return for the fund's shareholders.

Comment:

The trading activity is meant to mislead market participants and is, therefore, a violation of the Standard. The fact that his fund shareholders gain by this action does not change the fact that it is a violation.

Example 2:

A member posts false information about a firm on internet bulletin boards and stock chat facilities in an attempt to cause the firm's stock to increase in price.

Comment:

This is a violation of the Standard.



MODULE QUIZ 41.3

1. Carrie Carlson, CFA, is a citizen of Emerging Market Country (EMC) with no securities laws governing the use of material nonpublic information. Carlson has clients in Emerging Market Country and in Neighboring Country (NC), which has basic laws governing the use of material nonpublic information. If Carlson has material nonpublic information on a publicly traded security, she:
 - A. can inform her clients in EMC, but may not share material nonpublic information with NC clients.
 - B. can use the information for her NC clients only to the extent permitted by the laws of NC.
 - C. cannot use the information to trade in either EMC or NC.
2. In order to dispel the myth that emerging market stocks are illiquid investments, Green Brothers, a "long only" emerging market fund manager, has two of its subsidiaries simultaneously buy and sell emerging market stocks. In its marketing literature, Green Brothers cites the overall emerging market volume as evidence of the market's liquidity. As a result of its actions, more investors participate in the emerging markets fund. Which of the following is *most likely* correct? Green Brothers:
 - A. did not violate the Code and Standards.
 - B. violated the Code and Standards by manipulating the volume in the emerging securities markets.
 - C. would not have violated the Code and Standards if the subsidiaries only traded stocks not included in the fund.
3. Over the past two days, Lorraine Quigley, CFA, manager of a hedge fund, has been purchasing large quantities of Craeger Industrial Products' common stock while at the same time shorting put options on the same stock. Quigley did not notify her clients of the trades although they are aware of the fund's general strategy to generate returns. Which of the following statements is *most likely* correct? Quigley:
 - A. did not violate the Code and Standards.
 - B. violated the Code and Standards by manipulating the prices of publicly traded securities.

- C. violated the Code and Standards by failing to disclose the transactions to clients before they occurred.
4. Before joining Mitsui Ltd. as an analyst covering the electrical equipment manufacturing industry, Pam Servais, CFA, worked for Internet Security Systems (ISS) where she had access to nonpublic information. While at ISS, Servais learned of a severe environmental problem at two firms handling boron-based components. It is common knowledge that seven firms in the industry worldwide use the same boron handling technique. The two firms for which Servais has knowledge announced the problem last week and had immediate stock price declines of 11% and 17%, respectively. The other five firms have not made an announcement. Servais issues a report recommending Mitsui clients sell shares of the remaining five firms. Servais's issuance of this recommendation:
- A. is not a violation of CFA Institute Standards.
 - B. is a violation of CFA Institute Standards because it fails to distinguish between opinion and fact.
 - C. constitutes a violation of the Standard pertaining to the use of material nonpublic information.
5. Zanuatu, an island nation, does not have any regulations precluding the use of nonpublic information. Alfredo Romero has a friend and fellow CFA charterholder there with whom he has shared nonpublic information regarding firms outside of his industry. The information concerns several firms' internal earnings and cash flow projections. The friend may:
- A. trade on the information only within Zanuatu and only to the extent permitted under the laws of Zanuatu.
 - B. not trade on the information.
 - C. trade on the information only if she can independently develop a reasonable and adequate basis for the transaction using public information.
6. Julia Green, CFA, has friends from her previous employer who have suggested that she receive information from them via an internet chat room. In this way, she receives news about an exciting new product being developed by a firm in Singapore that has the potential to double the firm's revenue. The firm has not revealed any information regarding the product to the public. According to the Code and Standards, this information is:
- A. both material and nonpublic and Green may not trade on it in Singapore, but may trade on it elsewhere.
 - B. both material and nonpublic and Green may not trade on it in any jurisdiction.
 - C. public by virtue of its release in the chat room and Green may trade on it.
7. Will Hunter, CFA, is a portfolio manager at NV Asset Managers in Baltimore, which specializes in managing labor union pension fund accounts. A friend of Hunter's who is an investment banker asks Hunter to purchase shares in their new IPOs in order to support the price long enough for insiders to liquidate their holdings. Hunter realizes that the price of the shares will almost certainly fall dramatically after his buying support ceases. NV management "strongly suggests" that Hunter "not rock the boat" and honor the investment banker's request since NV has had a long-standing relationship with the investment bank. Hunter agrees to make the purchases. Hunter has:
- A. not violated the Code and Standards.
 - B. violated the Code and Standards by attempting to distort prices.
 - C. violated the Code and Standards by failing to place orders in the appropriate transaction priority.

MODULE 41.4: STANDARD III(A)

III Duties to Clients



Video covering
this content is
available online.

III(A) Loyalty, Prudence, and Care. Members and Candidates have a duty of loyalty to their clients and must act with reasonable care and exercise prudent judgment. Members and Candidates must act for the benefit of their clients and place their clients' interests before their employer's or their own interests.

Guidance

Client interests always come first. Although this Standard does not impose a fiduciary duty on members or candidates where one did not already exist, it does require members and candidates to act in their clients' best interest and recommend products that are suitable given their clients' investment objectives and risk tolerances.

- Exercise the prudence, care, skill, and diligence under the circumstances that a person acting in a like capacity and familiar with such matters would use.
- Manage pools of client assets in accordance with the terms of the governing documents, such as trust documents or investment management agreements.
- Make investment decisions in the context of the total portfolio.
- Inform clients of any limitations in an advisory relationship (e.g., an advisor who may only recommend her own firm's products).
- Vote proxies in an informed and responsible manner. Due to cost benefit considerations, it may not be necessary to vote all proxies.
- Client brokerage, or "soft dollars" or "soft commissions" must be used to benefit the client.
- The "client" may be the investing public as a whole rather than a specific entity or person.

Recommended Procedures of Compliance

Submit to clients, at least quarterly, itemized statements showing all securities in custody and all debits, credits, and transactions.

Encourage firms to address these topics when drafting policies and procedures regarding fiduciary duty:

- Follow applicable rules and laws.
- Establish investment objectives of client. Consider suitability of portfolio relative to client's needs and circumstances, the investment's basic characteristics, or the basic characteristics of the total portfolio.
- Diversify.
- Deal fairly with all clients in regards to investment actions.
- Avoid or disclose conflicts.
- Disclose compensation arrangements.
- Vote proxies in the best interest of clients and ultimate beneficiaries.
- Maintain confidentiality.
- Seek best execution.
- Place client interests first.

Application of Standard III(A) Loyalty, Prudence, and Care

Example 1:

A member uses a broker for client-account trades that has relatively high prices and average research and execution. In return, the broker pays for the rent and other overhead expenses for the member's firm.

Comment:

This is a violation of the Standard because the member used client brokerage for services that do not benefit clients and failed to get the best price and execution for his clients.

Example 2:

In return for receiving account management business from Broker X, a member directs trades to Broker X on the accounts referred to her by Broker X, as well as on other accounts as an incentive to Broker X to send her more account business.

Comment:

This is a violation if Broker X does not offer the best price and execution or if the practice of directing trades to Broker X is not disclosed to clients. The obligation to seek best price and execution is always required unless clients provide a written statement that the member is not to seek best price and execution and that they are aware of the impact of this decision on their accounts.

Example 3:

A member does more trades in client accounts than are necessary to accomplish client goals because she desires to increase her commission income.

Comment:

The member is using client assets (brokerage fees) to benefit herself and has violated the Standard.



MODULE QUIZ 41.4

1. Mary Herbst, CFA, a pension fund manager at GBH Investments, is reviewing some of FreeTime, Inc.'s pension fund activities over the past years. Which of the following actions related to FreeTime, Inc.'s pension fund is *most likely* to be a breach of her fiduciary duties?
 - A. Paying higher-than-average brokerage fees to obtain research materials used in the management of the pension fund.
 - B. Trading with selected brokers so that the brokers will recommend GBH's managers to potential clients.
 - C. Selectively choosing brokers for the quality of research provided for managing FreeTime's pension.

MODULE 41.5: STANDARDS III(B) AND III(C)



Video covering
this content is
available online.

III(B) Fair Dealing. Members and Candidates must deal fairly and objectively with all clients when providing investment analysis, making

investment recommendations, taking investment action, or engaging in other professional activities.

Guidance

Do not discriminate against any clients when disseminating recommendations or taking investment action. Fairly does not mean equally. In the normal course of business, there will be differences in the time emails, faxes, etc., are received by different clients. Different service levels are okay, but they must not negatively affect or disadvantage any clients. Disclose the different service levels to all clients and prospects, and make premium levels of service available to all who wish to pay for them.

Guidance—Investment Recommendations

Give all clients a fair opportunity to act upon every recommendation. Clients who are unaware of a change in a recommendation should be advised before the order is accepted.

Guidance—Investment Actions

Treat clients fairly in light of their investment objectives and circumstances. Treat both individual and institutional clients in a fair and impartial manner. Members and candidates should not take advantage of their position in the industry to disadvantage clients (e.g., in the context of IPOs).

Recommended Procedures for Compliance

Encourage firms to establish compliance procedures requiring proper dissemination of investment recommendations and fair treatment of all customers and clients. Consider these points when establishing fair dealing compliance procedures:

- Limit the number of people who are aware that a change in recommendation will be made.
- Shorten the time frame between decision and dissemination.
- Publish personnel guidelines for pre-dissemination—have in place guidelines prohibiting personnel who have prior knowledge of a recommendation from discussing it or taking action on the pending recommendation.
- Simultaneous dissemination of new or changed recommendations to all clients who have expressed an interest or for whom an investment is suitable.
- Maintain list of clients and holdings—use to ensure that all holders are treated fairly.
- Develop written trade allocation procedures—ensure fairness to clients, timely and efficient order execution, and accuracy of client positions.
- Disclose trade allocation procedures.
- Establish systematic account review—ensure that no client is given preferred treatment and that investment actions are consistent with the account's objectives.
- Disclose available levels of service.

Application of Standard III(B) Fair Dealing

Example 1:

A member gets options for his part in an IPO from the subject firm. The IPO is oversubscribed and the member fills his own and other individuals' orders but has to reduce allocations to his institutional clients.

Comment:

The member has violated the Standard. He must disclose to his employer and to his clients that he has accepted options for putting together the IPO. He should not take any shares of a hot IPO for himself and should have distributed his allocated shares of the IPO to all clients in proportion to their original order amounts.

Example 2:

A member is delayed in allocating some trades to client accounts. When she allocates the trades, she puts some positions that have appreciated in a preferred client's account and puts trades that have not done as well in other client accounts.

Comment:

This is a violation of the Standard. The member should have allocated the trades to specific accounts prior to the trades or should have allocated the trades proportionally to suitable accounts in a timely fashion.

Example 3:

Because of minimum lot size restrictions, a portfolio manager allocates the bonds she receives from an oversubscribed bond offering to her clients in a way that is not strictly proportional to their purchase requests.

Comment:

Since she has a reason (minimum lot size) to deviate from a strict pro rata allocation to her clients, there is no violation of Fair Dealing.

III(C) Suitability

1. When Members and Candidates are in an advisory relationship with a client, they must:
 - a. Make a reasonable inquiry into a client's or prospective clients' investment experience, risk and return objectives, and financial constraints prior to making any investment recommendation or taking investment action and must reassess and update this information regularly.
 - b. Determine that an investment is suitable to the client's financial situation and consistent with the client's written objectives, mandates, and constraints before making an investment recommendation or taking investment action.
 - c. Judge the suitability of investments in the context of the client's total portfolio.
2. When Members and Candidates are responsible for managing a portfolio to a specific mandate, strategy, or style, they must make only investment recommendations or take only investment actions that are consistent with the stated objectives and constraints of the portfolio.

Guidance

In advisory relationships, be sure to gather client information at the beginning of the relationship, in the form of an investment policy statement (IPS). Consider clients' needs and circumstances and thus their risk tolerance. Consider whether or not the use of leverage is suitable for the client.

If a member is responsible for managing a fund to an index or other stated mandate, be sure investments are consistent with the stated mandate.

Guidance—Unsolicited Trade Requests

An investment manager might receive a client request to purchase a security that the manager knows is unsuitable, given the client's investment policy statement. The trade may or may not have a material effect on the risk characteristics of the client's total portfolio and the requirements are different for each case. In either case, however, the manager should not make the trade until he has discussed with the client the reasons (based on the IPS) that the trade is unsuitable for the client's account.

If the manager determines that the effect on the risk/return profile of the client's total portfolio is minimal, the manager, after discussing with the client how the trade does not fit the IPS goals and constraints, may follow his firm's policy with regard to unsuitable trades. Regardless of firm policy, the client must acknowledge the discussion and an understanding of why the trade is unsuitable.

If the trade would have a material impact on the risk/return profile of the client's total portfolio, one option is to update the IPS so that the client accepts a changed risk profile that would permit the trade. If the client will not accept a changed IPS, the manager may follow firm policy, which may allow the trade to be made in a separate client-directed account. In the absence of other options, the manager may need to reconsider whether to maintain the relationship with the client.

Recommended Procedures for Compliance

Members should:

- Put the needs and circumstances of each client and the client's investment objectives into a written IPS for each client.
- Consider the type of client and whether there are separate beneficiaries, investor objectives (return and risk), investor constraints (liquidity needs, expected cash flows, time, tax, and regulatory and legal circumstances), and performance measurement benchmarks.
- Review investor's objectives and constraints periodically to reflect any changes in client circumstances.

Application of Standard III(C) Suitability

Comment:

Example 1:

A member gives a client account a significant allocation to non-dividend paying high-risk securities even though the client has low risk tolerance and modest return objectives.

Comment:

This is a violation of the Standard.

Example 2:

A member puts a security into a fund she manages that does not fit the mandate of the fund and is not a permitted investment according to the fund's disclosures.

Comment:

This, too, is a violation of the Standard.

Example 3:

A member starts his own money management business but puts all clients in his friend's hedge funds.

Comment:

He has violated the Standards with respect to suitability. He must match client needs and circumstances to the investments he recommends and cannot act like a sales agent for his friend's funds.



MODULE QUIZ 41.5

1. Melvin Byrne, CFA, manages a portfolio for James Martin, a very wealthy client. Martin's portfolio is well diversified with a slight tilt toward capital appreciation. Martin requires very little income from the portfolio. Recently, Martin's brother, Cliff, has become a client of Byrne. Byrne proceeds to invest Cliff's portfolio in a similar manner to James's portfolio based on the fact that both brothers have a similar lifestyle and are only two years apart in age. Which of the following statements is *most accurate*? Byrne violated the Code and Standards by:
 - A. knowingly creating a conflict between the interests of James's and Cliff's portfolios.
 - B. failing to determine Cliff's objectives and constraints prior to investing his portfolio.
 - C. failing to have a reasonable and adequate basis for Cliff's portfolio allocation.
2. Jessica Ellis, CFA, manages an international stock fund for a group of wealthy investors with similar investment objectives. According to the investment policy statement, the fund is to pursue an aggressive growth strategy while maintaining sufficient international diversification and is prohibited from using leverage. Ellis has just received a request from the majority of the group of investors to purchase for the fund a large position in German bonds which they believe to be significantly undervalued. Which of the following actions should Ellis take to avoid violating the Code and Standards?
 - A. Purchase the bonds since it was requested by the clients to whom Ellis has a fiduciary duty.
 - B. Inform the investors that she is unable to make the purchase since it is inconsistent with the international stock portfolio's investment mandate.
 - C. Purchase the bonds only after receiving a written consent statement signed by the majority of the investors stating that they are aware that the investment is not suitable for the portfolio.
3. Shane Matthews, CFA, is a principal at Carlson Brothers, a leading regional investment bank specializing in initial public offerings of small to mid-sized biotech firms. Just before many of the IPOs are offered to the general public, Matthews arranges for 10% of the shares of the firm going public to be distributed to select Carlson clients. This action is *most likely* a violation of the Standard concerning:
 - A. additional compensation.

- B. avoiding or disclosing conflicts of interest.
- C. fair dealing.

MODULE 41.6: STANDARDS III(D) AND III(E)



Video covering
this content is
available online.

III(D) Performance Presentation. When communicating investment performance information, Members or Candidates must make reasonable efforts to ensure that it is fair, accurate, and complete.

Guidance

Members must avoid misstating performance or misleading clients/prospects about investment performance of themselves or their firms, should not misrepresent past performance or reasonably expected performance, and should not state or imply the ability to achieve a rate of return similar to that achieved in the past. For brief presentations, members must make detailed information available on request and indicate that the presentation has offered limited information.

Recommended Procedures for Compliance

Encourage firms to adhere to Global Investment Performance Standards. Obligations under this Standard may also be met by:

- Considering the sophistication of the audience to whom a performance presentation is addressed.
- Presenting performance of weighted composite of similar portfolios rather than a single account.
- Including terminated accounts as part of historical performance and clearly stating when they were terminated.
- Including all appropriate disclosures to fully explain results (e.g., model results included, gross or net of fees, etc.).
- Maintaining data and records used to calculate the performance being presented.

Application of Standard III(D) Performance Presentation

Example 1:

A member puts simulated results of an investment strategy in a sales brochure without disclosing that the results are not actual performance numbers.

Comment:

The member has violated the Standard.

Example 2:

In materials for prospective clients, a member uses performance figures for a large-cap growth composite she has created by choosing accounts that have done relatively well and including some accounts with significant mid-cap exposure.

Comment:

This is a violation of the Standard as the member has attempted to mislead clients and has misrepresented her performance.

Example 3:

A member changes his firm's performance attribution method to one he believes is more consistent with the strategies used by the firm's investment managers.

Comment:

To avoid a violation of the Standard, the member must disclose this change to existing and new clients. He should explain the reasons for changing the method and report the managers' performance attribution using *both* the old and new methods so that clients may compare them.

III(E) Preservation of Confidentiality. Members and Candidates must keep information about current, former, and prospective clients confidential unless:

1. The information concerns illegal activities on the part of the client or prospective client,
2. Disclosure is required by law, or
3. The client or prospective client permits disclosure of the information.

Guidance

If illegal activities by a client are involved, members may have an obligation to report the activities to authorities. The confidentiality Standard extends to former clients as well.

The requirements of this Standard are not intended to prevent Members and Candidates from cooperating with a CFA Institute Professional Conduct Program (PCP) investigation.

Recommended Procedures for Compliance

Members should avoid disclosing information received from a client except to authorized co-workers who are also working for the client. Members should follow firm procedures for storage of electronic data and recommend adoption of such procedures if they are not in place.

Application of Standard III(E) Preservation of Confidentiality

Example 1:

A member has learned from his client that one of his goals is to give more of his portfolio income to charity. The member tells this to a friend who is on the board of a worthy charity and suggests that he should contact the client about a donation.

Comment:

The member has violated the Standard by disclosing information he has learned from the client in the course of their business relationship.

Example 2:

A member learns that a pension account client is violating the law with respect to charges to the pension fund.

Comment:

The member must bring this to the attention of her supervisor and try to end the illegal activity. Failing this, the member should seek legal advice about any disclosure she should make to legal or regulatory authorities and dissociate herself from any continuing association with the pension account.



MODULE QUIZ 41.6

1. In a marketing brochure, DNR Asset Managers presents the performance of several composite portfolios managed according to similar investment strategies. In constructing composites, the firm excludes individual portfolios with less than \$1 million in assets, excludes terminated portfolios, and includes simulated results. DNR includes the following disclosure in the brochure: "Past performance is no guarantee of future results. Composites exclude portfolios under \$1 million in assets and include results from simulated model portfolios with similar strategies." DNR's brochure:
 - A. does not violate the Code and Standards.
 - B. violates the Code and Standards by failing to include terminated portfolios in the performance presentation.
 - C. violates the Code and Standards by excluding portfolios under \$1 million from the composite performance presentation.
2. Beth Anderson, CFA, is a portfolio manager for several wealthy clients including Reuben Carlyle. Anderson manages Carlyle's personal portfolio of stock and bond investments. Carlyle recently told Anderson that he is under investigation by the IRS for tax evasion related to his business, Carlyle Concrete (CC). After learning about the investigation, Anderson proceeds to inform a friend at a local investment bank so that they may withdraw their proposal to take CC public. Which of the following is *most likely* correct? Anderson:
 - A. violated the Code and Standards by failing to maintain the confidentiality of her client's information.
 - B. violated the Code and Standards by failing to detect and report the tax evasion to the proper authorities.
 - C. did not violate the Code and Standards since the information she conveyed pertained to illegal activities on the part of her client.
3. Which of the following is *least likely* one of the recommendations included in the Standards of Practice Handbook with regard to performance presentation?
 - A. Include terminated accounts in past performance history.
 - B. Present the performance of a representative account to show how a composite has performed.
 - C. Consider the level of financial knowledge of the audience to whom the performance is presented.

MODULE 41.7: STANDARDS IV(A), IV(B), AND IV(C)



Video covering this content is available online.

IV Duties to Employers

IV(A) Loyalty. In matters related to their employment, Members and Candidates must act for the benefit of their employer and not deprive their employer of the advantage of

their skills and abilities, divulge confidential information, or otherwise cause harm to their employer.

Guidance

Members must not engage in any activities which would injure the firm, deprive it of profit, or deprive it of the advantage of employees' skills and abilities. Members should always place client interests above interests of their employer but consider the effects of their actions on firm integrity and sustainability. There is no requirement that the employee put employer interests ahead of family and other personal obligations; it is expected that employers and employees will discuss such matters and balance these obligations with work obligations.

Guidance—Employer Responsibility

Members are encouraged to give their employer a copy of the Code and Standards. Employers should not have incentive and compensation systems that encourage unethical behavior.

Guidance—Independent Practice

Independent practice for compensation is allowed if a notification is provided to the employer fully describing all aspects of the services, including compensation, duration, and the nature of the activities *and* if the employer consents to all terms of the proposed independent practice before it begins.

Guidance—Leaving an Employer

Members must continue to act in their employer's best interests until resignation is effective. Activities which may constitute a violation include:

- Misappropriation of trade secrets.
- Misuse of confidential information.
- Soliciting employer's clients prior to leaving.
- Self-dealing.
- Misappropriation of client lists.

Employer records on any medium (e.g., home computer, PDA, cell phone) are the property of the firm.

Once an employee has left a firm, simple knowledge of names and existence of former clients is generally not confidential. There is also no prohibition on the use of experience or knowledge gained while with a former employer. If an agreement exists among employers (e.g., the U.S. "Protocol for Broker Recruiting") that permits brokers to take certain client information when leaving a firm, a member or candidate may act within the terms of the agreement without violating the Standard.

Guidance—Social Media

Members and candidates must adhere to their employers' policies concerning social media. When planning to leave an employer, members and candidates must ensure that

their social media use complies with their employers' policies for notifying clients about employee separations. A best practice is to use separate social media accounts for personal and professional communications.

Guidance—Whistleblowing

There may be isolated cases where a duty to one's employer may be violated in order to protect clients or the integrity of the market, and not for personal gain. Some firms are required to have whistleblowing procedures in place to allow anonymous reporting of illegal or unethical acts. Members and candidates should know their firms' policies and encourage their firms to adopt best practices.

Guidance—Nature of Employment

The applicability of this Standard is based on the nature of the employment—employee versus independent contractor. If Members and Candidates are independent contractors, they still have a duty to abide by the terms of the agreement.

Application of Standard IV(A) Loyalty

Example 1:

A member solicits clients and prospects of his current employer to open accounts at the new firm he will be joining shortly.

Comment:

It is a violation of the Standard to solicit the firm's clients and prospects while he is still employed by the firm.

Example 2:

Two employees discuss joining with others in an employee-led buyout of their employer's emerging markets investment management business.

Comment:

There is no violation here. Their employer can decide how to respond to any buyout offer. If such a buyout takes place, clients should be informed of the nature of the changes in a timely manner.

Example 3:

A member is writing a research report on a company as a contract worker for Employer A (using Employer A's premises and materials) with the understanding that Employer A does not claim exclusive rights to the outcome of her research. As she is finishing the report, she is offered a full-time job by Employer B and sends Employer B a copy of a draft of her report for publication.

Comment:

She has violated the Standard by not giving Employer A the first rights to act on her research. She must also be careful not to take any materials used in preparing the report from Employer A's premises.

Example 4:

A member helps develop software for a firm while acting as an unpaid intern and takes the software, without permission, with her when she takes a full-time job at another firm.

Comment:

She is considered an employee of the firm and has violated the Standard by taking her employer's property without permission.

Example 5:

A member prepares to leave his employer and open his own firm by registering with the SEC, renting an office, and buying office equipment.

Comment:

As long as these preparations have not interfered with the performance of his current job, there has been no violation. The solicitation of firm clients and prospects prior to leaving his employer would, however, be a violation of the Standard.

Example 6:

A member is a full-time employee of an investment management firm and wants to accept a paid position as town mayor without asking his employer's permission.

Comment:

Because the member serving as mayor does not conflict with his employer's business interests, as long as the time commitment does not preclude performing his expected job functions well, there is no violation.

Example 7:

A member who has left one employer uses public sources to get the phone numbers of previous clients and solicits their business for her new employer.

Comment:

As long as there is no agreement in force between the member and his previous employer that prohibits such solicitation, there is no violation of the Standards.

IV(B) Additional Compensation Arrangements. Members and Candidates must not accept gifts, benefits, compensation, or consideration that competes with or might reasonably be expected to create a conflict of interest with their employer's interest unless they obtain written consent from all parties involved.

Guidance

Compensation includes direct and indirect compensation from a client and other benefits received from third parties. Written consent from a member's employer includes email communication. Members and candidates who are hired to work part time should discuss any arrangements that may compete with their employer's interest at the time they are hired, and abide by any limitations their employer identifies.

Recommended Procedures for Compliance

Make an immediate written report to employer detailing any proposed compensation and services, if additional to that provided by employer. Details including any performance incentives should be verified by the offering party.

Application of Standard IV(B) Additional Compensation Arrangements

Example 1:

A member is on the board of directors of a company whose shares he purchases for client accounts. As a member of the board, he receives the company's product at no charge.

Comment:

Because receiving the company's product constitutes compensation for his service, he is in violation of the Standard if he does not disclose this additional compensation to his employer.



PROFESSOR'S NOTE

If a client gives us money for doing a good job (one time), we need to disclose it (though not necessarily in writing).

If we have an agreement with a client that we will receive money in the future for outperformance, we need to disclose that in writing.

For any side job that potentially competes with our employer, written permission is required.

For a side job (e.g., bartender) that's unrelated to our primary job, no disclosure is required.

IV(C) Responsibilities of Supervisors. Members and Candidates must make reasonable efforts to ensure that anyone subject to their supervision or authority complies with applicable laws, rules, regulations, and the Code and Standards.

Guidance

Members must make reasonable efforts to *prevent* employees from violating laws, rules, regulations, or the Code and Standards, as well as make reasonable efforts to *detect* violations.

Guidance—Compliance Procedures

Understand that an adequate compliance system must meet industry standards, regulatory requirements, and the requirements of the Code and Standards. Members with supervisory responsibilities have an obligation to bring an inadequate compliance system to the attention of firm's management and recommend corrective action. While investigating a possible breach of compliance procedures, it is appropriate to limit the suspected employee's activities.

A member or candidate faced with no compliance procedures or with procedures he believes are inadequate must decline supervisory responsibility in writing until adequate

procedures are adopted by the firm.

Recommended Procedures for Compliance

A member should recommend that his employer adopt a code of ethics. Employers should not commingle compliance procedures with the firm's code of ethics—this can dilute the goal of reinforcing one's ethical obligations. Members should encourage employers to provide their code of ethics to clients.

Adequate compliance procedures should:

- Be clearly written.
- Be easy to understand.
- Designate a compliance officer with authority clearly defined.
- Have a system of checks and balances.
- Outline the scope of procedures.
- Outline what conduct is permitted.
- Contain procedures for reporting violations and sanctions.
- Structure incentives so that unethical behavior is not rewarded.

Once the compliance program is instituted, the supervisor should:

- Distribute it to the proper personnel.
- Update it as needed.
- Continually educate staff regarding procedures.
- Issue reminders as necessary.
- Require professional conduct evaluations.
- Review employee actions to monitor compliance and identify violations.
- Enforce procedures once a violation occurs.
- Review procedures and identify any changes needed to prevent violations in the future.

If there is a violation, respond promptly and conduct a thorough investigation while increasing supervision or placing limitations on the wrongdoer's activities.

Application of Standard IV(C) Responsibilities of Supervisors

Example 1:

A member responsible for compliance by the firm's trading desk notices a high level of trading activity in a stock that is not on the firm's recommended list. Most of this trading is being done by a trainee, and the member does not investigate this trading.

Comment:

This is a violation of the member's responsibilities as supervisor. She must take steps to monitor the activities of traders in training, as well as investigate the reason for the heavy trading of the security by her firm's trading desk.



MODULE QUIZ 41.7

1. Connie Fletcher, CFA, works for a small money management firm that specializes in pension accounts. Recently, a friend asked her to act as an unpaid volunteer manager for the city's street sweep pension fund. As part of the position, the city would grant Fletcher a free parking space in front of her downtown office. Fletcher is considering the offer. Fletcher is *most likely* required by CFA Institute Standards to:
 - A. decline the offer because it might create a conflict of interest with her employer's interest.
 - B. inform her current clients in writing and discuss the offer with her employer before accepting the offer.
 - C. obtain written permission from her employer before accepting the offer.
2. Which of the following statements about a supervisor's responsibilities is *most accurate*?
 - A. If her employer has an inadequate compliance system, a member or candidate should refuse to accept supervisory responsibility until the firm develops plans to adopt reasonable procedures in the future.
 - B. In the event of misconduct by an employee that they oversee, a member or candidate can fulfill their supervisory responsibilities by reporting the misconduct up the chain of command and warning the employee to cease the activity.
 - C. Members and candidates with oversight responsibilities for large numbers of employees may delegate supervisory duties to subordinates who directly oversee these employees.
3. Robert Blair, CFA, Director of Research, has had an ongoing battle with management about the adequacy of the firm's compliance system. Recently, it has come to Blair's attention that the firm's compliance procedures are inadequate in that they are not being monitored and not carefully followed. What should Blair *most appropriately* do?
 - A. Resign from the firm unless the compliance system is strengthened and followed.
 - B. Send his superior a memo outlining the problem.
 - C. Decline in writing to continue to accept supervisory responsibility until reasonable compliance procedures are adopted.
4. Ahmed Jamal, CFA, head of research for Valley Brokers, decided it was time to change his recommendation on D&R Company from buy to sell. He orally announced his decision during the Monday staff meeting and said his written report would be finished and disseminated to Valley's customers by the middle of next week. As a result of this announcement, Doris Smith, one of Jamal's subordinates, immediately sold her personal shares in D&R, and Martin Temple told his largest institutional customers of the change the following day. Which Standards have *most likely* been violated?
 - A. Jamal violated Standard IV(C) Responsibilities of Supervisors; Smith violated Standard II(A) Material Nonpublic Information; and Temple violated Standard VI(B) Priority of Transactions.
 - B. Jamal violated Standard IV(C) Responsibilities of Supervisors; Smith violated Standard VI(B) Priority of Transactions; and Temple violated Standard III(B) Fair Dealing.
 - C. Smith violated Standard VI(B) Priority of Transactions, and Temple violated Standard III(B) Fair Dealing.
5. Sally Albright, CFA, works full-time for Frank & Company, an investment management firm, as a fixed-income security analyst. Albright has been asked by a business contact at KDG Enterprises to accept some analytical work from KDG on a consulting basis. The work would entail investigating potential distressed debt securities in the small-cap market. Albright should *most appropriately*:
 - A. accept the work as long as she obtains consent to all the terms of the engagement from Frank & Company.
 - B. not accept the work as it violates the Code and Standards by creating a conflict of interest.

C. accept the work as long as she obtains written consent from KDG and does it on her own time.

MODULE 41.8: STANDARD V



Video covering
this content is
available online.

V Investment Analysis, Recommendations, and Actions

V(A) Diligence and Reasonable Basis. Members and Candidates must:

- Exercise diligence, independence, and thoroughness in analyzing investments, making investment recommendations, and taking investment actions.
- Have a reasonable and adequate basis, supported by appropriate research and investigation, for any investment analysis, recommendation, or action.

Guidance

The application of this Standard depends on the investment philosophy adhered to, members' and candidates' roles in the investment decision-making process, and the resources and support provided by employers. These factors dictate the degree of diligence, thoroughness of research, and the proper level of investigation required.

Guidance—Reasonable Basis

The level of research required to satisfy the requirement for due diligence will differ depending on the product or service offered. A list of some things that should be considered prior to making a recommendation or taking investment action includes:

- Global and national economic conditions.
- A firm's financial results, operating history, and business cycle stage.
- Fees and historical results for a mutual fund.
- Limitations of any quantitative models used.
- A determination of whether peer group comparisons for valuation are appropriate.

Guidance—Using Secondary or Third-Party Research

Members should encourage their firms to adopt a policy for periodic review of the quality of third-party research, if they have not. Examples of criteria to use in judging quality are:

- Review assumptions used.
- Determine how rigorous the analysis was.
- Identify how timely the research is.
- Evaluate objectivity and independence of the recommendations.

Guidance—Using Quantitative Research

Members must be able to explain the basic nature of the quantitative research and how it is used to make investment decisions. Members should consider scenarios outside those typically used to assess downside risk and the time horizon of the data used for model evaluation to ensure that both positive and negative cycle results have been considered.

Guidance—Developing Quantitative Techniques

The Standard requires greater diligence of members and candidates who create quantitative techniques than of those who use techniques developed by others. Members and candidates must understand the technical details of the products they offer to clients. A member or candidate who has created a quantitative strategy must test it thoroughly, including extreme scenarios with inputs that fall outside the range of historical data, before offering it to clients.

Guidance—External Advisers

Members should make sure their firms have procedures in place to review any external advisers they use or promote to ensure that, among other things, the advisers:

- Have adequate compliance and internal controls.
- Present returns information that is correct.
- Do not deviate from their stated strategies.

Guidance—Group Research and Decision Making

Even if a member does not agree with the independent and objective view of the group, he does not necessarily have to decline to be identified with the report, as long as there is a reasonable and adequate basis.

Recommended Procedures for Compliance

Members should encourage their firms to consider these policies and procedures supporting this Standard:

- Have a policy requiring that research reports and recommendations have a basis that can be substantiated as reasonable and adequate.
- Have detailed, written guidance for proper research and due diligence.
- Have measurable criteria for judging the quality of research, and base analyst compensation on such criteria.
- Have written procedures that provide a minimum acceptable level of scenario testing for computer-based models and include standards for the range of scenarios, model accuracy over time, and a measure of the sensitivity of cash flows to model assumptions and inputs.
- Have a policy for evaluating outside providers of information that addresses the reasonableness and accuracy of the information provided and establishes how often the evaluations should be repeated.
- Adopt a set of standards that provides criteria for evaluating external advisers and states how often a review of external advisers will be performed.

Application of Standard V(A) Diligence and Reasonable Basis

Example 1:

Ben Strong, CFA, works in the investment banking department of Martellus, Ltd. The firm is anticipating that the green energy credits enjoyed by some of the firms will shrink. Because the demand for this tax-advantaged category is currently high, Strong convinces several

companies that they should undertake new equity financings promptly before the credit shrinks. Strong, however, has limited bandwidth and is unable to provide the due diligence necessary to accurately price these issues. Strong decides to simply apply a multiple to the current level of credits these firms receive, and plans to dive deeper once the workload becomes manageable.

Comment:

Strong should only accept the work that he and his department can handle. By using an ad-hoc multiple, Strong has neglected to research all the other relevant aspects that should be considered when pricing new issues, and thus has not performed sufficient due diligence. This lack of basis could result in shares being priced incorrectly.

Example 2:

A member in the corporate finance department of a securities firm prices IPO shares without doing adequate research because she wants to get them to market quickly.

Comment:

This is a violation of Standard V(A).

Example 3:

A member screens a database of investment managers and sends a recommendation of five of them to a client. Subsequently, but before the client receives the report, one of the recommended firms loses its head of research and several key portfolio managers. The member does not update her report.

Comment:

This is a violation as the member should have notified the client of the change in key personnel at the management firm.

Example 4:

A member writes a report in which she estimates mortgage rates. After reviewing it, a majority of the investment committee vote to change the report to reflect a different interest rate forecast. Must the member dissociate herself from the report?

Comment:

The same facts may give rise to different opinions and as long as the committee has a reasonable and adequate basis for their (differing) opinion, the member is under no obligation to ask that her name be removed from the report or to disassociate from issuing the report.

Example 5:

A member makes a presentation for an offering his firm is underwriting, using maximum production levels as his estimate in order to justify the price of the shares he is recommending for purchase.

Comment:

Using the maximum possible production without acknowledging that this is not the expected level of production (or without presenting a range of possible outcomes and their relative probabilities) does not provide a reasonable basis for the purchase recommendation and is a violation of the Standard.

Example 6:

A member posts buy recommendations in an internet chat room based on “conventional wisdom” and what the public is currently buying.

Comment:

A recommendation that is not based on independent and diligent research into the subject company is a violation of the Standard.

Example 7:

A member is a principal in a small investment firm that bases its securities recommendations on third-party research that it purchases.

Comment:

This is not a violation as long as the member’s firm periodically checks the purchased research to determine that it has met, and still meets, the criteria of objectivity and reasonableness required by the Standard.

Example 8:

A member selects an outside advisor for international equities based solely on the fact that the selected firm has the lowest fees for managing the international equities accounts.

Comment:

This is a violation of Standard V(A). The member must consider performance and service, not just fees, in selecting an outside advisor for client accounts.

Example 9:

A member investigates the management, fees, track record, and investment strategy of a hedge fund and recommends it to a client who purchases it. The member accurately discloses the risks involved with the investment in the hedge fund. Soon afterward, the fund reports terrible losses and suspends operations.

Comment:

The bad outcome does not mean there has necessarily been a violation of Standard V(A). A member who has performed reasonable due diligence and disclosed investment risks adequately has complied with the requirements of Standard V(A), regardless of the subsequent outcome.

V(B) Communication with Clients and Prospective Clients. Members and Candidates must:

1. Disclose to clients and prospective clients the nature of the services provided, along with information about the costs to the client associated with those services.

2. Disclose to clients and prospective clients the basic format and general principles of the investment processes they use to analyze investments, select securities, and construct portfolios and must promptly disclose any changes that might materially affect those processes.
3. Disclose to clients and prospective clients significant limitations and risks associated with the investment process.
4. Use reasonable judgment in identifying which factors are important to their investment analyses, recommendations, or actions and include those factors in communications with clients and prospective clients.
5. Distinguish between fact and opinion in the presentation of investment analysis and recommendations.

Guidance

Proper communication with clients is critical to provide quality financial services.

Client-facing members and candidates must describe to clients and prospects the nature of the services they are offering and the costs to the clients of those services, both at the initiation of a relationship and on an ongoing basis if the services or their costs change. While the Standard does not require disclosure of specific money amounts (this might not always be possible, as in the case of percentage fees), it does require members and candidates to provide reasonably detailed information about costs, including costs that may arise from using the services of third parties.

Members must distinguish between opinions and facts and always include the basic characteristics of the security being analyzed in a research report.

Members must illustrate to clients and prospects the investment decision-making process utilized.

All means of communication are included here, not just research reports.

In preparing recommendations for structured securities, allocation strategies, or any other nontraditional investment, members should communicate those risk factors specific to such investments. In all cases, members should communicate the potential gains and losses on the investment clearly in terms of total returns. Members are required to communicate significant changes in the risk characteristics of an investment or strategy and to update clients regularly about changes in the investment process, including any risks and limitations that have been newly identified.

When using projections from quantitative models and analysis, members may violate the Standard by not explaining the limitations of the model and the assumptions it uses, which provides a context for judging the uncertainty regarding the estimated investment result.

Members and candidates must inform clients about limitations inherent to an investment. Two examples of such limitations are liquidity and capacity. *Liquidity* refers to the ability to exit an investment readily without experiencing a significant extra cost for doing so. *Capacity* refers to an investment vehicle's ability to absorb additional investment without reducing the returns it is able to achieve.

Recommended Procedures for Compliance

Selection of relevant factors in a report can be a judgment call, so be sure to maintain records indicating the nature of the research, and be able to supply additional information if it is requested by the client or other users of the report.

Application of Standard V(B) Communication with Clients and Prospective Clients

Example 1:

A member sends a report to his investment management firm's clients describing a strategy his firm offers in terms of the high returns it will generate in the event interest rate volatility decreases. The report does not provide details of the strategy because they are deemed proprietary. The report does not consider the possible returns if interest rate volatility actually increases.

Comment:

This is a violation on two counts. The basic nature of the strategy must be disclosed, including the extent to which leverage is used to generate the high returns when volatility falls. Further, the report must include how the strategy will perform if volatility rises, as well as if it falls.

Example 2:

A member's firm changes from its old equity selection model, which is based on price-sales ratios, to a new model based on several factors, including future earnings growth rates, but does not inform clients of this change.

Comment:

This is a violation because members must inform their clients of any significant change in their investment process. Here, the introduction of forecast data on earnings growth can be viewed as a significant change because the old single-variable model was based on reported rather than forecast data.

Example 3:

A member's firm, in response to poor results relative to its stated benchmark, decides to structure portfolios to passively track the benchmark and does not inform clients.

Comment:

This is a significant change in the investment process and must be communicated to clients.

Example 4:

At a firm where individual portfolio managers have been responsible for security selection, a new policy is implemented whereby only stocks on an approved list constructed by the firm's senior managers may be purchased in client accounts. A member who is a portfolio manager does not inform his clients.

Comment:

This is a violation of the Standard because it represents a significant change in the investment process.

Example 5:

A member changes his firm's outside manager of real estate investments and provides information of this change only in the firm's annual report where outside advisers are listed.

Comment:

This is a violation of the Standard. The member should notify clients immediately of such a change in the firm's investment process.

Example 6:

A member discovers that an error in one of his firm's quantitative models led to a number of trades in one portfolio that should not have been made. The member corrects the error in the model and rebalances the portfolio to reverse the erroneous trades, but does not report the issue.

Comment:

The member violated the Standard by failing to disclose both the error and the corrective action to clients.



PROFESSOR'S NOTE

Remember, the argument that clients "won't care" about a process change can be turned around to "there's no reason not to disclose the change."

V(C) Record Retention. Members and Candidates must develop and maintain appropriate records to support their investment analysis, recommendations, actions, and other investment-related communications with clients and prospective clients.

Guidance

Members must maintain research records that support the reasons for the analyst's conclusions and any investment actions taken. Such records are the property of the firm. If no other regulatory standards or firm policies are in place, the Standard recommends a 7-year minimum holding period. All communications with clients through any medium, including emails and text messages, are records that must be retained.

A member who changes firms must recreate the analysis documentation supporting her recommendation using publicly available information or information obtained from the company and must not rely on memory or materials created at her previous firm.

Recommended Procedures for Compliance

This recordkeeping requirement generally is the firm's responsibility.

Application of Standard V(C) Record Retention

Example 1:

A member bases his research reports on interviews, his own analysis, and industry reports from third parties on his industry and related industries.

Comment:

The member must keep records of all the information that went into the research on which his reports and recommendations are based.

Example 2:

When a member leaves a firm at which he has developed a complex trading model, he takes documentation of the model assumptions and how they were derived over time with him because he will use the model at his new firm.

Comment:

Taking these materials without permission from his previous employer is a violation of his duties to his (previous) employer. While he may use knowledge of the model at the new firm, the member must recreate the supporting documents. The originals are the property of the firm where he worked on developing the model.

**MODULE QUIZ 41.8**

1. Gail Stefano, CFA, an analyst for a U.S. brokerage firm that serves U.S. investors, researches public utilities in South American emerging markets. Stefano makes the following statement in a recent report: "Based on the fact that the South American utilities sector has seen rapid growth in new service orders, we expect that most companies in the sector will be able to convert the revenue increases into significant profits. We also believe the trend will continue for the next three to five years." The report goes on to describe the major risks of investing in this market, in particular the political and exchange rate instability associated with South American countries. Stefano's report:
 - A. has not violated the Code and Standards.
 - B. violated the Code and Standards by failing to properly distinguish factual information from opinions.
 - C. violated the Code and Standards by failing to properly identify details related to the operations of South American utilities.
2. Which of the following is *most likely* a violation of Standard III(B) Fair Dealing?
 - A. A firm makes investment recommendations and also manages a mutual fund. The firm routinely begins trading for the fund's account 10 minutes before announcing recommendation changes to client accounts.
 - B. After releasing a general recommendation to all clients, an analyst calls the firm's largest institutional clients to discuss the recommendation in more detail.
 - C. A portfolio manager allocates IPO shares to all client accounts, including her brother's fee-based retirement account.
3. Eugene Nieder, CFA, has just accepted a new job as a quantitative analyst for Paschal Investments, LLP. Nieder developed a complex model while working for his previous employer and plans to recreate the model for Paschal. Nieder did not make copies of the model or any supporting documents since his employer refused to grant him permission to do so. Nieder will recreate the model from memory. Which of the following statements is *most likely* correct?
 - A. Nieder can recreate the model without violating the Code and Standards as long as he also generates supporting documentation.
 - B. Nieder can recreate the model without violating the Code and Standards without documentation if the model is modified from its original form.

- C. Nieder cannot recreate the model without violating the Code and Standards because it is the property of his former employer.
4. Fred Johnson, CFA, a financial analyst and avid windsurfer, has begun an investment survey of the water sports leisure industry. His brother sells windsurfing gear in Tampa and tells him that Swordfish9 is the “hottest windsurfing rig on the market and will be highly profitable for Swordfish Enterprises.” Johnson had never heard of Swordfish9 previously, but after testing the board himself became very excited about the Swordfish9 and issued an investment recommendation of “buy” on Swordfish Enterprises. As a result of issuing the recommendation, Johnson has:
- A. not violated the Code and Standards.
 - B. violated the Code and Standards by failing to establish a reasonable and adequate basis.
 - C. violated the Code and Standards by failing to consider the suitability of the investment for his clients.
5. Which of the following actions is a *required*, rather than *recommended*, action under the Standard regarding diligence and a reasonable basis for a firm’s research recommendations?
- A. Have a policy requiring that research reports and recommendations have a basis that can be substantiated as reasonable and adequate.
 - B. Compensate analysts based on measurable criteria to assess the quality of their research.
 - C. Review the assumptions used and evaluate the objectivity of externally generated research reports.

MODULE 41.9: STANDARD VI



Video covering
this content is
available online.

VI Conflicts of Interest

VI(A) Avoid or Disclose Conflicts. Members and Candidates must avoid or make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

Guidance

Members and candidates should avoid actual or potential conflicts of interests to the extent possible. When they cannot reasonably avoid actual or potential conflicts of interest, members and candidates must fully disclose these conflicts to clients, prospects, and their employers. These disclosures must be clearly stated.

Guidance—Disclosure to Clients

The requirement that all potential areas of conflict be disclosed allows clients and prospects to judge motives and potential biases for themselves. Disclosure of broker-dealer market-making activities would be included here. Board service is another area of potential conflict.

The most common conflict which requires disclosure is actual ownership of stock in companies that the member recommends or that clients hold.

Another common source of conflicts of interest is a member's compensation/bonus structure, which can potentially create incentives to take actions that produce immediate gains for the member with little or no concern for longer-term returns for the client. Such conflicts must be disclosed when the member is acting in an advisory capacity and must be updated in the case of significant change in compensation structure. Any special compensation arrangements, bonus programs, commissions, and incentives should be disclosed.

Guidance—Disclosure of Conflicts to Employers

Members must give the employer enough information to judge the impact of the conflict. Take reasonable steps to avoid conflicts, and report them promptly if they occur.

Application of Standard VI(A) Avoid or Disclose Conflicts

Example 1:

An investment management partnership sells a significant stake to a firm that is publicly traded. The partnership has added the firm's stock to its recommended list and approved its commercial paper for cash management accounts.

Comment:

Members are required to disclose such a change in firm ownership to all clients. Further, any transactions in client accounts involving the securities of the public firm, and any recommendations concerning the public firm's securities, must include a disclosure of the business relation between it and the partnership.

Example 2:

A member provides clients with research about a company's stock, and his wife inherits a significant amount of stock in the company.

Comment:

The member must disclose this potential conflict to his employer and in any subsequent reports or recommendations he authors. His employer may prudently choose to reassign the stock.

Example 3:

A member's investment banking firm receives a significant number of options as partial compensation for bringing a firm public. The member will profit personally from a portion of these options as well.

Comment:

In any research report on the public firm's securities, the member must disclose the fact that these options exist and include their number and the expiration date(s). Because he will profit personally from these, he must also disclose the extent of his participation in these options.

Example 4:

A member accepts an offer from a stock promoter who will provide additional compensation when the member sells Acme stock to his clients. He does not inform his clients or his employer.

Comment:

The member is in violation of the Standard because he must disclose this additional compensation to those clients to whom he recommends the stock and to his employer. Both have a right to determine for themselves the extent to which this additional compensation might affect the member's objectivity.

Example 5:

A member who is a portfolio manager for a small investment management firm serving individuals accepts a job as a trustee of an endowment fund that has over €1.5 billion in assets and does not disclose this to her employer.

Comment:

This is a significant position that may require a substantial portion of the member's time and may involve decisions on security selection and trading. The member is in violation of the Standard by not disclosing this involvement to her employer and by not discussing it with her employer before accepting the position.

Example 6:

A member replaces his firm's external manager, which has had average results, with a friend's firm.

Comment:

Taking such action without disclosing to his firm that the new manager is a personal friend is a violation of the Standards.

Example 7:

A member who is a portfolio manager participates in her employer's defined contribution pension plan through automatic contributions each pay period. The investment choices in the plan are large, diversified mutual funds, including one fund that is managed by her employer.

Comment:

The Standard does not require the member to disclose her personal investments in diversified funds unless this is her firm's policy, nor does it require preclearance for her automatic payroll deductions. The member should follow her firm's policies with regard to preclearing and disclosing her investments in firm-managed funds.

VI(B) Priority of Transactions. Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

Guidance

Client transactions take priority over personal transactions and over transactions made on behalf of the member's firm. Personal transactions include situations where the member is a "beneficial owner." Personal transactions may be undertaken only after clients and the member's employer have had an adequate opportunity to act on a recommendation. Note that family member accounts that are client accounts should be treated just like any client account; they should not be disadvantaged.

Information about pending trades should not be acted on for personal gain. The overriding considerations with respect to personal trades are that they do not disadvantage any clients.

Recommended Procedures for Compliance

All firms should have in place basic procedures that address conflicts created by personal investing. The following areas should be included:

- Limited participation in equity IPOs. Members can avoid these conflicts by not participating in IPOs.
- Restrictions on private placements. Strict limits should be placed on employee acquisition of these securities and proper supervisory procedures should be in place. Participation in these investments raises conflict of interest issues, similar to IPOs.
- Establish blackout/restricted periods. Employees involved in investment decision-making should have blackout periods prior to trading for clients—no "front running" (i.e., purchase or sale of securities in advance of anticipated client or employer purchases and sales). The size of the firm and the type of security should help dictate how severe the blackout requirement should be.
- Reporting requirements. Supervisors should establish reporting procedures, including duplicate trade confirmations, disclosure of personal holdings/beneficial ownership positions, and preclearance procedures.
- Disclosure of policies. Members must fully disclose to investors their firm's personal trading policies.

Members should encourage their firms to adopt such procedures if they have not.

Application of Standard VI(B) Priority of Transactions

Example 1:

A member who is a research analyst does not recommend a stock to his employer because he wants to purchase it quickly for his personal account.

Comment:

He has violated the priority of transactions by withholding this information from his employer and seeking to profit personally at his employer's expense. The member has likely violated his duty to his employer under Standard IV(A) Loyalty as well.

Example 2:

A member who manages a fund gets hot IPO shares for her husband's account from syndicate firms, even when the fund is unable to get shares.

Comment:

The member has violated the Standard by this action. She must act in the interest of the shareholders of the fund and place allocated shares there first. She must also inform her employer of her participation in these offerings through her beneficial interest in her husband's account(s).

Example 3:

A member allows an employee to continue his duties without having signed a required report of his personal trading activity over the last three months. The employee, a CFA candidate, has been purchasing securities for his own account just before firm buy recommendations have been released.

Comment:

The employee has violated the Standard. The member has also violated Standard IV(C) Responsibilities of Supervisors by allowing the employee to continue in his regular duties.

Example 4:

A member reveals a sell rating on some securities in a broadcast to all of her firm's brokers. The changed rating is sent to clients the next day. Shortly after revealing the change to her firm's brokers and prior to dissemination to clients, she buys puts on the stock for her firm's account.

Comment:

The member did not give clients adequate opportunity to act on the change in recommendation before buying the puts for her firm's account.

VI(C) Referral Fees. Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from, or paid to, others for the recommendation of products or services.

Guidance

Members must inform employers, clients, and prospects of any benefit received for referrals of customers and clients, allowing them to evaluate the full cost of the service as well as any potential partiality. All types of consideration must be disclosed.

Recommended Procedures for Compliance

Members should encourage their firms to adopt clear procedures regarding compensation for referrals. Firms that do not prohibit such fees should have clear procedures for approval, and members should provide their employers with updates at least quarterly regarding the nature and value of referral compensation received.

Application of Standard VI(C) Referral Fees

Example 1:

Jim Banaji is a banker who receives bonus compensation for each client referred to the bank's brokerage division. Banaji chooses to not disclose this arrangement to his clients.

Comment:

Banaji has violated Standard VI(C) by not disclosing the referral arrangement at the bank to his clients. Members and candidates must disclose all such referral fees. Therefore, the disclosure should include the nature and the value of the benefit and should be made in writing.

Example 2:

An investment consultant conducts an independent and objective analysis of investment managers for a pension fund and selects the best one. Subsequently, the selected advisor makes a payment to the consultant.

Comment:

This is a violation of the Standard. The potential for a payment should have been disclosed to the pension fund. There are very likely regulatory or legal considerations with regard to such payment as well.



MODULE QUIZ 41.9

1. Which of the following is *least likely* a violation of Standard VI(B) Priority of Transactions?
An analyst:
 - A. trades for her own account before her firm announces a change in a recommendation.
 - B. trades for her son's trust account, which is not a firm account, on the day after her firm changes its buy/sell recommendation.
 - C. takes a position for her own outside account in a stock one week after she published a buy recommendation for the stock.
2. As part of an agreement with Baker Brokerage, Hern Investment Company, a money manager for individual clients, provides monthly emerging market overviews in exchange for prospective client referrals and European equity research from Baker. Clients and prospects of Hern are not made aware of the agreement, but clients unanimously rave about the high quality of the research provided by Baker. As a result of the research, many clients with non-discretionary accounts have earned substantial returns on their portfolios. Managers at Hern have also used the research to earn outstanding returns for the firm's discretionary accounts. Which of the following statements is *most likely* correct? Hern:
 - A. has not violated the Code and Standards.
 - B. has violated the Code and Standards by using third-party research in discretionary accounts.
 - C. has violated the Code and Standards by failing to disclose the referral agreement with Baker.
3. Neiman Investment Co. receives brokerage business from Pick Asset Management in exchange for referring prospective clients to Pick. Pick advises clients—in writing, at the time the relationship is established—of the nature of its arrangement with Neiman. With regard to this practice, Pick has:
 - A. complied with the Code and Standards.

- B. violated the Code and Standards by failing to preserve the confidentiality of the agreement with Neiman.
- C. violated the Code and Standards by inappropriately negotiating an agreement that creates a conflict of interest.
4. Daniel Lyons, CFA, is an analyst for a French firm that sells investment research to European companies. Lyons's aunt owns 30,000 shares of French National Bank (FNB). She informs Lyons that as a part of her estate planning she has created a trust in his name into which she has placed 2,000 shares of FNB. The trust is structured so that Lyons will not receive control of the assets for two years, at which time his aunt will also gift her current home to Lyons and move into a retirement community. Lyons is due to update his research coverage of FNB next week. Lyons should *most appropriately*:
- A. advise his superiors that he is no longer able to issue research recommendations on FNB.
- B. update the report without notification since the shares are held in trust and are beyond his direct control.
- C. disclose the situation to his employer and, if then asked to prepare a report, also disclose the situation in the report.

MODULE 41.10: STANDARD VII



Video covering
this content is
available online.

VII Responsibilities as a CFA Institute Member or CFA Candidate

VII(A) Conduct as Participants in CFA Institute Programs. Members and Candidates must not engage in any conduct that compromises the reputation or integrity of CFA Institute or the CFA designation or the integrity, validity, or security of CFA Institute programs.



PROFESSOR'S NOTE

The Standard is intended to cover conduct such as cheating on the CFA exam or otherwise violating rules of CFA Institute or the CFA Program. It is not intended to prevent anyone from expressing any opinions or beliefs concerning CFA Institute or the CFA Program.

Members must not engage in any activity that undermines the integrity of the CFA charter. This Standard applies to conduct which includes:

- Cheating on the CFA exam or any exam administered by CFA Institute (e.g., CIPM).
- Revealing anything about either broad or specific topics tested, content of exam questions, or formulas required or not required on the exam.
- Not following rules and policies of any CFA Institute program.
- Giving confidential information on the CFA Program to candidates or the public.
- Improperly using the designation to further personal and professional goals.
- Misrepresenting information on the Professional Conduct Statement (PCS) or the CFA Institute Professional Development Program.

Members and candidates are not precluded from expressing their opinions regarding the exam program or CFA Institute but must not reveal confidential information about the CFA Program.

Candidates who violate any of the CFA exam policies (calculator, personal belongings, Candidate Pledge) have violated Standard VII(A).

Members who volunteer in the CFA Program may not solicit or reveal information about questions considered for or included on a CFA exam, about the grading process, or about scoring of questions.

Application of Standard VII(A) Conduct as Participants in CFA Institute Programs

Example 1:

A member who volunteers at a local CFA society schedules her own clients for their regularly scheduled company presentations at the society, while excluding non-client firms.

Comment:

The member, by using her volunteer position at a local society to benefit herself and her clients, compromises the reputation and integrity of CFA Institute and, thus, violates Standard VII(A).

Example 2:

A member who is an exam grader discusses with friends the guideline answer for and relative candidate performance on a specific question he graded on the CFA exam.

Comment:

He has violated his Grader's Agreement and also the Standard by compromising the integrity of the CFA exam.

Example 3:

A candidate does not stop writing when asked to by the proctor at the CFA exam.

Comment:

By taking additional time compared to other candidates, this candidate has violated the Standard, compromising the integrity of the exam process.

Example 4:

A member who is a volunteer on a CFA Institute committee tells her clients that what she learns through her committee work will allow her to better serve their interests.

Comment:

She has violated the Standard by using her CFA committee position to benefit herself personally and to any extent her "inside" knowledge has benefited her clients.

Example 5:

A candidate tells another candidate, "I'm sure glad that Bayes' formula was not on the Level I test this year."

Comment:

This is a violation of Standard VII(A). Candidates are not permitted to reveal any formulas required or not required on a CFA exam.

Example 6:

A candidate tells his beloved CFA instructor, “I really appreciate the emphasis that you put on Financial Reporting and Analysis because that was a huge part of the test this year.”

Comment:

This is a violation of Standard VII(A). Candidates are not permitted to disclose the relative weighting of topics on the exam.

Example 7:

A candidate tells his mother, “There was an item set on the CFA exam on the Residual Income Model that just kicked my butt.”

Comment:

This is a violation of Standard VII(A). Candidates are not permitted to disclose specific topics tested on the exam.

VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program.

When referring to CFA Institute, CFA Institute membership, the CFA designation, or candidacy in the CFA Program, Members and Candidates must not misrepresent or exaggerate the meaning or implications of membership in CFA Institute, holding the CFA designation, or candidacy in the CFA Program.

Guidance

Members must not make promotional promises or guarantees tied to the CFA designation. Do not:

- Over-promise individual competence.
- Over-promise investment results in the future (i.e., higher performance, less risk, etc.).

Guidance—CFA Institute Membership

Members must satisfy these requirements to maintain membership:

- Sign PCS annually.
- Pay CFA Institute membership dues annually.

If they fail to do this, they are no longer active members.

Guidance—Using the CFA Designation

Do not misrepresent or exaggerate the meaning of the designation. Use of the CFA designation by a charterholder is subject to terms of the annual Professional Conduct Statement Agreement.

Guidance—Referencing Candidacy in the CFA Program

There is no partial designation. It is acceptable to state that a candidate successfully completed the program in three years, if in fact he did, but claiming superior ability

because of this is not permitted.

Recommended Procedures for Compliance

Make sure that members' and candidates' firms are aware of the proper references to a member's CFA designation or candidacy, as this is a common error.



PROFESSOR'S NOTE

While using "CFA" as a noun is no longer a violation of the Code of Standards, CFA Institute still considers this to be a misuse of the CFA designation trademark, and a violation of a CFA charterholder's trademark license agreement.

Application of Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program

Example 1:

Supra Investments has advertised that all of the firm's directors are CFA charterholders that passed their exams on first attempts. This fact is prominently linked to the firm's superior performance.

Comment:

Supra can make factual statements (about the qualifications of the directors as well as passing the examinations on the first try) but cannot link these facts to the firm's performance; to do so would violate Standard VII(B).

Example 2:

A member chose to move out of the investment profession and did not renew his membership with the CFA Institute. Several years later, he decided to pursue an opportunity in private equity and submitted his resume with CFA qualification after his name.

Comment:

The member has violated Standard VII(B) because his right to use the CFA designation was suspended when he stopped paying dues. Prior to using the designation again, the member must complete CFA Institute reinstatement procedures.

Example 3:

A member still uses the initials CFA after his name even though his membership has been suspended for not paying dues and for not submitting a personal conduct statement as required.

Comment:

This is a violation of the Standard.

Example 4:

A member puts the CFA logo on his letterhead, his business cards, and the company letterhead.

Comment:

By putting the logo on the company letterhead (rather than the letterhead or business card of an individual who is a CFA charterholder), the member has violated the Standard.

Example 5:

A member maintains an online account on a popular internet forum using the name "Old_CFA_Charterholder." The member is not otherwise identified in the forum.

Comment:

This use of the designation violates the Standard because the name hides the member's identity.



MODULE QUIZ 41.10

1. Paula Osgood, CFA, is promoting her new money management firm by issuing an advertisement. Which of these items is *least likely* a violation of the professional designation Standard? The advertisement states that:
 - A. she passed three exams covering ethics, financial statement analysis, asset valuation, and portfolio management, and that she is a member of the local society. Osgood signs the advertisement followed by the letters CFA in oversized and bold strike letters on the next line.
 - B. she passed three 6-hour exams on her first attempts over the minimum period of one and a half years. Knowledge tested included ethics, financial statement analysis, asset valuation, and portfolio management. In addition, she is a member of the local society.
 - C. because of her extensive CFA training, she will be able to achieve better investment results than non-CFA managers since she is one of very few professionals to have been awarded this designation.
2. Frist Investments, Inc. has just hired Michael Pulin to manage institutional portfolios, most of which are pension related. Pulin has just taken the Level III CFA Program exam and is awaiting his results. Pulin has more than 15 years of investment management experience with individual clients but has never managed an institutional portfolio. Pulin joined the CFA Institute as an affiliate member two years ago and is in good standing with the organization. Which of the following statements would be *most appropriate* for Frist to use in advertising Pulin as a new member of the firm? Pulin:
 - A. has many years of investment experience which, along with his participation in the CFA Program, will allow him to deliver superior investment performance relative to other managers.
 - B. is a CFA Level III and passed the first two exams on the first attempt. He is an affiliate member of the CFA Institute. We expect him to become a regular member if he passes the Level III examination.
 - C. is a Level III CFA candidate and has many years of excellent performance in the investment management industry. Pulin is an affiliate member of the CFA Institute and will be eligible to become a CFA charterholder and regular member if he passes the Level III CFA Program exam.
3. Samantha Donovan, CFA, is an exam proctor for the Level II CFA Program exam. The day before the exam is to be administered, Donovan faxes a copy of one of the questions to two friends, James Smythe and Lynn Yeats, who are Level II candidates in the CFA Program. Donovan, Smythe, and Yeats had planned the distribution of an exam question months in advance. Smythe used the fax to prepare for the exam. Yeats, however, had second thoughts and threw the fax away without looking at its contents. Which of the following statements is *most likely* correct?

- A. Smythe violated the Code and Standards, but Yeats did not.
 - B. Donovan violated the Code and Standards, but Smythe did not.
 - C. Donovan and Yeats both violated the Code and Standards.
4. After sitting for the Level I CFA exam, Cynthia White visits CFA Haven, an online forum, to express her frustration. White writes, "CFA Institute is not doing a competent job of evaluating candidates, because none of the questions in the June exam touched on Alternative Investments." Regarding the CFA Institute Standards of Professional Conduct, White *most likely*:
- A. did not violate any Standard, as she was exercising her right to freedom of speech.
 - B. violated the Standards by discussing exam content.
 - C. violated the Standards by impugning the reputation of CFA Institute.
5. After passing all three levels of the CFA Program examinations on her first attempts and being awarded her CFA charter, Paula Osgood is promoting her new money management firm by issuing an advertisement. Which of these statements would *most likely* violate the Standard related to use of the CFA designation?
- A. "To earn the right to use the CFA designation, Paula passed three exams covering ethics, financial statement analysis, asset valuation, and portfolio management."
 - B. "Paula passed three 6-hour exams on her first attempts and is a member of her local investment analyst society."
 - C. "Because of her extensive training, Paula will be able to achieve better investment results than managers who have not been awarded the CFA designation."

KEY CONCEPTS

LOS 40.a

Members of CFA Institute (including CFA charterholders) and candidates for the CFA designation ("Members and Candidates") must:⁴

- Act with integrity, competence, diligence, and respect, and in an ethical manner with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.
- Place the integrity of the investment profession and the interests of clients above their own personal interests.
- Use reasonable care and exercise independent professional judgment when conducting investment analysis, making investment recommendations, taking investment actions, and engaging in other professional activities.
- Practice and encourage others to practice in a professional and ethical manner that will reflect credit on themselves and the profession.
- Promote the integrity and viability of the global capital markets for the ultimate benefit of society.
- Maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals.

LOS 40.b

The Standards of Professional Conduct are organized into seven standards:

- I. Professionalism
- II. Integrity of Capital Markets

- III. Duties to Clients
- IV. Duties to Employers
- V. Investment Analysis, Recommendations, and Action
- VI. Conflicts of Interest
- VII. Responsibilities as a CFA Institute Member or CFA Candidate

ANSWER KEY FOR MODULE QUIZZES

Module Quiz 40.1, 41.1

1. **C** According to Standard I(A), informing her supervisor or firm's compliance department is appropriate. Dissociating herself would be premature. She should report her suspicions to a supervisory person and attempt to remedy the situation. (Module 41.1, LOS 41: I(A))
2. **B** According to Standard I(A), since she has taken steps to stop the illegal activities and the board has ignored her, Jones must dissociate from the board and seek legal advice as to what other actions would be appropriate in this instance. She may need to inform legal or regulatory authorities of the illegal activities. (Module 41.1, LOS 41: I(A))
3. **C** According to Standard I(A), in some instances, reporting a legal violation to governmental or regulatory officials may be appropriate, but this isn't always necessary, and it isn't required under Standard I(A). (Module 41.1, LOS 41: I(A))
4. **A** Standard I(B), Independence and Objectivity, requires that members and candidates reject offers of gifts or compensation that could compromise their independence or objectivity. Schleifer has appropriately rejected the offer of the hotel accommodations and the use of ChemCo's jet. He may accept the desk clock since this gift is of nominal value and is unlikely to compromise his independence and objectivity. Schleifer cannot accept the tickets to the dinner, however. Since it is a formal high-society dinner, the tickets are most likely expensive or difficult to come by. Even though he has disclosed the gift to his employer and he plans to use the dinner as a marketing opportunity for his firm, the gift itself may influence Schleifer's future research in favor of ChemCo. Allowing such potential influence is a violation of Standard I(B). (Module 41.1, LOS 41: I(B))
5. **C** Standard I(B) recommends, but does not require, that an analyst have his firm pay for ordinary travel expenses to visit companies that are the subject of research. The other choices are required by the Standards. (Module 41.1, LOS 41: I(B))

Module Quiz 41.2

1. **A** Hutchins's personal bankruptcy may reflect poorly on her professional reputation if it resulted from fraudulent or deceitful business activities. There is no indication of this, however, and the bankruptcy is thus not a violation. Smith has not violated the Code and Standards by refusing to invest with Hutchins in what turned out to be bad investment opportunities. By reporting Smith to CFA Institute for a violation,

Hutchins has misused the Professional Conduct Program to settle a dispute unrelated to professional ethics and has thus violated Standard I(D), Misconduct. (LOS 41: I(D))

2. **B** According to Standard I(C), Misrepresentation, factual data from a recognized statistical reporting service need not be cited. (LOS 41: I(C))
3. **B** In the other choices, Olson violates Standard I(C) by misrepresenting the services that she or her firm are capable of performing, her qualifications, her academic or professional credentials, or the firm's credentials. The firm is small and most likely cannot perform all investment services the client may require. The firm cannot guarantee future outperformance of the market indexes. The firm doesn't have a long history (only six months). (LOS 41: I(C))
4. **C** There can be no assurance that a premium of 2% to 4% will consistently be obtained. Bixby is in violation of Standard I(C), Misrepresentation, since she has made an implicit guarantee of the fund's expected performance. (LOS 41: I(C))
5. **C** Since the statements are vague, we have no direct evidence that a violation of securities law has occurred. However, under Standard I(D), Misconduct, members and candidates are prohibited from engaging in activities involving deceit. Karloff's action is a clear attempt to mislead the investing public regarding the value of Summit IPOs. (LOS 41: I(D))

Module Quiz 41.3

1. **C** According to Standard II(A), members and candidates are under no circumstances allowed to use material nonpublic information to trade securities. Carlson must abide by the Code and Standards, which is the most strict regulation in the scenario. (LOS 41: II(A))
2. **B** The intent of Green Brothers' actions is to manipulate market liquidity in order to attract investment to its own funds. The increased trading activity was not based on market fundamentals or an actual trading strategy to benefit investors. It was merely an attempt to mislead market participants in order to increase assets under Green Brothers' management. The action violates Standard II(B), Market Manipulation. (LOS 41: II(B))
3. **A** Quigley's trades are most likely an attempt to take advantage of an arbitrage opportunity that exists between Craeger's common stock and its put options. She is not manipulating the prices of securities in an attempt to mislead market participants, which would violate Standard II(B), Market Manipulation. She is pursuing a legitimate investment strategy. Participants in her hedge fund are aware of the fund's investment strategy, and thus Quigley did not violate the Code and Standards by not disclosing this specific set of trades in advance of trading. (LOS 41: II(B))
4. **A** There is no indication that Servais has inside information pertaining to the situation at the five firms in question—only the two firms that have already gone public with the information. It is common knowledge that the other five firms follow the same boron handling procedures. She is, therefore, in compliance with Standard II(A)

concerning the use of material nonpublic information in the issuance of the investment recommendation. (LOS 41: II(A))

5. **B** Even though the laws of Zanuatu would not preclude trading on the information, as a CFA Charterholder, the friend is bound by the CFA Institute Code and Standards. Standard II(A) prohibits the use of material nonpublic information, and the friend may not trade the stocks about which she has such information under any circumstances. (LOS 41: II(A))
6. **B** The release of such information to a limited circle via an internet chat room does not cause the information to be public. The information is also clearly material. Therefore, Green is not allowed to trade on the information under Standard II(A). (LOS 41: II(A))
7. **B** NV management is asking Hunter to violate Standard II(B), Market Manipulation, which prohibits taking actions that are designed to distort prices or artificially increase trading volume. The intent of Hunter's actions is to mislead market participants and allow corporate insiders to take advantage of the artificially high prices. (LOS 41: II(B))

Module Quiz 41.4

1. **B** Standard III(A), Loyalty, Prudence, and Care. Herbst is acting as a fiduciary for the pension plan beneficiaries. Choosing brokers based on quality of services provided is reasonable. She may pay higher-than-average brokerage fees so long as doing so benefits the pension beneficiaries, not other clients. Trading with selected brokers solely to gain referrals is not likely to be in the pension beneficiaries' best interest since it does not take into account other important factors for selecting brokerage firms. (LOS 41: III(A))

Module Quiz 41.5

1. **B** Standard III(C), Suitability, requires that before taking investment action, members and candidates must make a reasonable inquiry into a client's or prospect's investment objectives and constraints as well as their prior investment experience. Byrne cannot assume that because the brothers have similar lifestyles and are close in age that they should have similarly managed portfolios. Byrne should have interviewed Cliff directly before investing his portfolio. (LOS 41: III(C))
2. **B** According to Standard III(C), Ellis must consider the suitability of each new investment (as well as the current holdings) in light of the portfolio mandate. In this given case, the client is the fund. Ellis must only make investments that are in accordance with the fund's investment policy statement. Therefore, Ellis should not purchase the unsuitable bonds as requested by her clients. (LOS 41: III(C))
3. **C** Standard III(B), Fair Dealing, requires that members not selectively disadvantage clients, specifically in the case of IPOs. Disclosure of an inequitable allocation method does not relieve the member of his obligation to fair dealing. (LOS 41: III(B))

Module Quiz 41.6

1. **B** By failing to include terminated portfolios in the performance presentation, the performance will have an inherent upward bias, making results appear better than they truly are. By excluding the terminated portfolios, DNR misleads its potential investors and thus violates Standard III(D), Performance Presentation, which prohibits any “practice that would lead to misrepresentation of a member or candidate’s performance record.” (LOS 41: III(D)))
2. **A** Anderson must maintain the confidentiality of client information according to Standard III(E). Confidentiality may be broken in instances involving illegal activities on the part of the client, but the client’s information may only be relayed to proper authorities. Anderson did not have the right to inform the investment bank of her client’s investigation. (LOS 41: III(E))
3. **B** The recommended procedure in Standard III(D), Performance Presentation, is to present the performance of a composite as a weighted average of the performance of similar portfolios rather than using a single representative account. (LOS 41: III(D)))

Module Quiz 41.7

1. **C** According to Standard IV(A), Loyalty, members and candidates are expected to act for the benefit of the employer and not deprive the employer of their skills. Fletcher is performing work similar to the services that her employer provides for a fee. Although the position is a volunteer position, Fletcher will receive compensation in the form of a free parking space. In light of the circumstances, Fletcher must disclose the details of the position and get written permission from her employer before accepting the volunteer position. (LOS 41: IV(A))
2. **C** Members and candidates with oversight responsibilities for large numbers of employees may not be able to personally evaluate the conduct of these employees on a continuing basis, and thus they may delegate supervisory duties to subordinates who directly oversee the other employees.

A member or candidate faced with no compliance procedures or with procedures she believes are inadequate must decline supervisory responsibility in writing until adequate procedures are adopted by the firm.

According to Standard IV(C), Responsibilities of Supervisors, reporting the violation and warning the employee to cease activities that violate the law or the Code and Standards are not enough. The supervisor must take steps (such as limiting employee activity or increasing the level of employee monitoring) to prevent further violations while she conducts an investigation. (LOS 41: IV(C))

1. **C** According to Standard IV(C), because he is aware that the firm’s compliance procedures are not being monitored and followed and because he has repeatedly tried to get company management to correct the situation, Blair should decline supervisory responsibility until adequate procedures to detect and prevent violations of laws, regulations, and the Code and Standards are adopted and followed. If he does not do so, he will be in violation of the Code and Standards. (LOS 41: IV(C))

2. **B** Jamal failed to properly supervise employees and provide adequate procedures and policies to prevent employee violations. Smith should not have traded her own account ahead of client accounts. Temple should not have disclosed the recommendation change selectively but should have informed his clients fairly and objectively. No inside information was used in the question. (LOS 41: IV(C))
3. **A** Albright may accept work for which she receives outside compensation and which may compete with her employer only if she obtains her employer's consent. Under Standard IV(A), Loyalty, such consent must be obtained from her employer prior to beginning the work. (LOS 41: IV(A))

Module Quiz 41.8

1. **A** Historical growth can be cited as a fact since it actually happened. Stefano states that her firm expects further growth and profitability, which is an opinion. She does not claim that these are facts. In addition, Stefano identifies relevant factors and highlights in particular the most significant risks of investing in South American utilities. She has fully complied with Standard V(B), Communication with Clients and Prospective Clients. Under the Standard, it is not necessary to include every detail about a potential investment in a report. Members and candidates are expected to use their judgment and identify the most important factors to include. (LOS 41: V(B))
2. **A** Choice B is not necessarily a violation. Firms can offer different levels of service to clients as long as this is disclosed to all clients. The largest institutional clients would likely be paying higher fees for a greater level of service. Also note that the analyst's brother's account in choice C should be treated the same as any other client account. (LOS 41: V(B))
3. **A** Nieder must not take models or documents from his previous employer without explicit permission to do so, or he would violate Standard IV(A), Loyalty. He is allowed, however, to reproduce the model from memory but must recreate the supporting documentation to maintain compliance with Standard V(C), Record Retention. (LOS 41: V(A))
4. **B** Johnson has apparently let his recreational passion cloud his judgment. This is not to say that Swordfish Enterprises is not or will not be an excellent investment. However, if he had never heard of the firm previously, issuing an investment recommendation without conducting a thorough financial investigation indicates a failure to exercise diligence and also indicates that he lacks a reasonable and adequate basis for his recommendation. He is in violation of Standard V(A). (LOS 41: V(A))
5. **C** It is required under Standard V(A), Diligence and Reasonable Basis, that third-party research assumptions be reviewed and both the independence and objectivity of the research and recommendations be evaluated. The other choices are recommended policies and procedures under the Standard. (LOS 41: V(A))

Module Quiz 41.9

1. **C** Members and candidates must give clients adequate opportunity to act on new or changed recommendations before taking investment action in their own non-firm

accounts or other non-client accounts in which they have a beneficial interest. One week is likely an acceptable waiting period. (LOS 41: VI(B))

2. **C** According to Standard VI(C), Referral Fees, Hern must disclose the referral arrangement between itself and Baker so that potential clients can judge the true cost of Hern's services and assess whether there is any partiality inherent in the recommendation of services. (LOS 41: VI(C))
3. **A** There is no violation of the CFA Institute Standards regarding this matter. The referral arrangement is fully disclosed to clients before they agree to do business with Pick. Therefore, clients can fully assess the effect of the agreement on the referral and how the agreement may affect their accounts before hiring Pick as their asset manager. (LOS 41: VI(C))
4. **C** Even though the shares are held in trust, this could still be construed as a conflict of interest. Lyons is obligated under Standard VI(A), Avoid or Disclose Conflicts, to inform his employer of the potential conflict. If he is then authorized to issue investment recommendations on the security in question, the existence of a potential conflict must be disclosed in the report. (LOS 41: VI(A))

Module Quiz 41.10

1. **B** According to Standard VII(B), any explanation of the designation in print form should be a concise description of the requirements or of CFA Institute. The other statements contain violations of Standard VII(B), in particular the presentation of the letters CFA after a signature, rather than following the charterholder's name. Also, she may not imply superior performance as a result of being a CFA charterholder. (LOS 41: VII(B))
2. **C** Standard VII(B) governs acceptable methods of referencing the CFA Institute, CFA designation, and CFA Program. Candidates may reference their candidacy if they are enrolled for or waiting for the results of, a CFA Program exam. Pulin may also reference his membership status with the CFA Institute as well as his remaining eligibility requirements to become a CFA charterholder. (LOS 41: VII(B))
3. **C** In this situation, Donovan, Smythe, and Yeats all violated Standard VII(A), Conduct as Participants in CFA Institute Programs. The Standard prohibits conduct that compromises the integrity, validity, or security of the CFA Program exams. Donovan clearly breached the exam security. Smythe and Yeats both compromised the integrity of the exams by planning to use the actual exam question to gain an advantage over other candidates. Even though Yeats did not ultimately use the information to study for the exam, she participated in a scheme to cheat on the CFA Program exam. (LOS 41: VII(A))
4. **B** Standard VII(A) Conduct as Participants in CFA Institute Programs prohibits candidates from revealing which portions of the Candidate Body of Knowledge were or were not covered on an exam. Members and candidates are free to disagree with the policies, procedures, or positions taken by the CFA Institute and express their opinion on such policies, procedures, and positions. (LOS 2: VII(A))

5. **C** Standard VII(B) Reference to CFA Institute, the CFA Designation, and the CFA Program prohibits members and candidates from implying superior performance as a result of being a CFA charterholder. Concise factual descriptions of the requirements to obtain the CFA charter are acceptable. Osgood’s statement that she passed the exams on her first attempts is acceptable because it states a fact. (LOS 41: VII(B))

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READING 42

APPLICATION OF THE CODE AND STANDARDS: LEVEL II

EXAM FOCUS

The cases discussed here introduce you to the obligations CFA Institute members and CFA[®] charterholders and candidates have under the Code and Standards. These cases will give you a sense of the types of scenarios you are likely to encounter on the Level II exam. The particulars of any case are not important in terms of test questions. However, understanding how to analyze a case and having the ability to recommend procedures to bring an illustrative firm into compliance are crucial to your success on the ethics portion of the exam. There are three additional problem sets (for this reading) covered by the curriculum which provide excellent practice in identifying violations of Code and Standards. Candidates should use those as well in preparing for the Level II exam.

MODULE 42.1: ETHICS CASE STUDIES



Video covering this content is available online.

LOS 42.a: Evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct.

LOS 42.b: Explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct.

1. Syyark Case Outline

The main facts of the Syyark case are as follows:

- Syyark, CFA, a private client adviser for Gueoe Bank, manages a globally diversified portfolio for client accounts. Syyark also advises clients on their outside holdings, thereby developing strong relationships with them.
- Syyark starts research into cryptocurrencies and realizes that competitive pressures make mining established digital currencies very difficult. Syyark settles on Meerine, a newer cryptocurrency. To limit his risk of being wrong, he recommends Meerine to a few of his smallest clients with an initial recommended allocation of 1% of portfolio.
- After attending several conferences, Syyark starts mining Meerine using his home computer without informing his employer.
- Syyark realizes that the trading volume is low and volatility high for Meerine but is confident about its prospects. Meerine price appreciates since his 1% recommendation.

Syyark then recommended a 3% portfolio allocation to Meerine to all clients.

- In subsequent client review meetings, Syyark shares the performance of Meerine, its low correlation with stocks and bonds, and discloses his mining activity. Syyark offers to sell Meerine out of his own account to the firm's larger clients.

Case Results

Standard III(B) Duties to Clients: Fair Dealing

All clients should be treated fairly when taking investment actions and offering advice. Offering different levels of service is not a violation as long as it does not disadvantage a client group and is disclosed.

Violations of Standard III(B):

- It is not acceptable for Syyark to fill orders of larger clients from his personal account.

Actions required to prevent these violations:

- Collect orders from all clients and fill the orders (if suitable) pro rata or not offer to sell to anybody from his personal account.

Standard III(C) Duties to Clients: Suitability

Investment actions on behalf of the client and investment advice provided to a client must be consistent with client's goals and constraints.

Violations of Standard III(C):

- Even though Syyark has evaluated the risk-reduction benefit of Meerine, blanket 3% allocation may not be suitable for every client.
- The initial 1% allocation recommendation to the smallest client was driven by using those clients as "guinea pigs" (if things don't work out, Syyark's and the bank's reputations would be less tarnished) and not based on suitability for those clients.

Actions required to prevent these violations:

- Properly assess the client's circumstances (including goals and constraints) to determine for which client an investment in Meerine is appropriate and, if so, what an appropriate level of investment should be for that client.

Standard IV(B) Duties to Employers: Additional Compensation Arrangements

Cryptocurrencies compete with banks for transaction completion services. Syyark's mining of Meerine (even on his own computer) might conflict with Gueoe Bank's interest.

Violations of Standard IV(B):

- Failing to inform the employer before engaging in mining activities.

Actions required to prevent these violations:

- Syyark should disclose to a supervisor or compliance officer of his intent to mine Meerine, what his potential earnings would be from this activity, and obtain a written permission before mining.

Standard V(A) Investment Analysis, Recommendations, and Actions: Diligence and Reasonable Basis

Even though Syyark has researched Meerine, this initial recommendation to the smallest clients is not grounded in reasonable basis.

Violations of Standard V(A):

- Syyark's evaluation of cryptocurrencies and Meerine in particular was not thorough.

Actions required to prevent these violations:

- Syyark should document his research into Meerine, the drivers of its value, and clients for which it would be suitable.

Standard VI(A) Conflicts of Interest: Avoid or Disclose Conflicts

Syyark must avoid or disclose all conflicts of interest that could reasonably be expected to impair his independence and objectivity.

Violations of Standard VI(A):

- Syyark recommending an investment with limited liquidity which he holds in his personal account would reasonably be construed as a conflict of interest. Not disclosing this conflict would be a violation of Standard VI(A).
- Syyark only reveals his mining activities in client meetings *after* his 3% recommendation is made to all clients.

Actions required to prevent these violations:

- Syyark should disclose the conflict created by his recommendation of Meerine to his clients and his employer which he is mining and currently holds in his personal portfolio.

2. Agarway Case Outline

The main facts of the Agarway case are as follows:

- Agarway, CFA, recently joined CrowdWisdom as VP of due diligence. CrowdWisdom is a young, online crowdfunding company that matches venture capital investors with startups seeking capital. Fee paying applicants that satisfy CrowdWisdom's due diligence would be listed on their platform and made available to all the investors that are members of the platform.
- The founders of CrowdWisdom want to grow rapidly and want to recruit the customers of startups as potential member investors on their platform. Additionally, they created an investment club comprising those members that were very active investors on the platform. Members of the investment club received a market intelligence report in addition to generally available applicant information.
- Agarway's due diligence process includes several screens that he has successfully tested at his previous job, where he personally invested in several startups. These screens include size of the startup's potential market, accounting policies, interviews with company executives, etc.
- One of the most promising companies that passed Agarway's screen is Deko, an IT startup with impressive founders, attractive prospects, and a unique product. Deko's

target customer base is pre-teens and teenagers. The company's strategy calls for soliciting investment from customers via emails. Emails specify that the investors have to be adults over the age of 18.

- Over time, Agarway's stack of applications to be reviewed grows over 300 and the founders are pressuring to have 10% acceptance rate. Agarway explains that there are time constraints in reviewing applications. Founders also recommend that two specific applicants that they met at a conference be accepted.

Case Results

Standard I(A) Professionalism: Knowledge of the Law

- Members and candidates should understand and comply with all applicable laws and regulations.

Violations of Standard I(A):

- It may not be legal in many jurisdictions to solicit investments from teenagers even if the solicitations specify that it is for adults only.
- Additionally, it may be illegal in many jurisdictions to collect information about minors without the permission of their parents. Sharing of information is further governed by various privacy laws that need to be carefully evaluated.

Actions required to prevent these violations:

- Agarway needs to ensure that Deko is in compliance with all applicable laws and regulations.

Standard VI(A) Conflicts of Interest: Disclosure

- Members and candidates are required to avoid or disclose all conflicts of interest that could reasonably be expected to impair their independence and objectivity.

Violations of Standard VI(A):

- Preferential access of market intelligence to members of the investment club may disadvantage other investors.
- Agarway's personal investments may be competing with potential startup applicants creating a conflict of interest.

Actions required to prevent these violations:

- Agarway's personal investments that compete with prospects as well as the preferential access to market intelligence to members of the investment club need to be disclosed to all investors.

Topic Quiz: Ethical and Professional Standards

You have now finished the Ethical and Professional Standards topic section. Please log into your Schweser online dashboard and take the Topic Quiz on this section. The Topic Quiz provides immediate feedback on how effective your study has been for this material. Questions are more exam-like than typical Module Quiz or QBank questions; a score of less than 70% indicates that your study likely needs improvement. These tests are best taken timed; allow three minutes per question.

FORMULAS

Portfolio Management

ETF premium (discount) % = (ETF price – NAV per share) / NAV per share

APT equation:

$$E(R_p) = R_F + \beta_{p,1}(\lambda_1) + \beta_{p,2}(\lambda_2) + \dots + \beta_{p,k}(\lambda_k)$$

expected return = risk free rate + Σ (factor sensitivity) $\times$ (factor risk premium)

active return = factor return + security selection return

multifactor model return attribution:

$$\text{factor return} = \Sigma(\beta_{pi} - \beta_{bi}) \times (\lambda_i)$$

active risk squared = active factor risk + active specific risk

active factor risk = active risk squared – active specific risk

$$\text{active specific risk} = \sum_{i=1}^n (W_{pi} - W_{bi})^2 \sigma_{\epsilon i}^2$$

portfolio variance for $W_A\%$ in fund A and $W_B\%$ in fund B:

$$\sigma_{\text{Portfolio}}^2 = W_A^2 \sigma_A^2 + W_B^2 \sigma_B^2 + 2W_A W_B \text{Cov}_{AB}$$

annualized standard deviation = $\sqrt{250} \times (\text{daily standard deviation})$

percentage change in value due to a change in yield to maturity (ΔY):

$$\% \text{ change in price} = -\text{duration} (\Delta Y) + \frac{1}{2} \text{convexity} (\Delta Y)^2$$

Note: For Macaulay duration rather than modified duration, ΔY is replaced by $\Delta Y / (1 + Y)$.

option value versus future volatility:

$$\text{change in call price} = \text{delta} (\Delta S) + \frac{1}{2} \text{gamma} (\Delta S)^2 + \text{vega} (\Delta V)$$

where ΔV is the change in future volatility

inter-temporal rate of substitution:

inter-temporal rate of substitution =

$$m_t = \frac{\text{marginal utility of consuming 1 unit in the future}}{\text{marginal utility of current consumption of 1 unit}}$$
$$= \frac{u_t}{u_0}$$

$$\text{real risk-free rate of return} = R = \frac{1 - P_0}{P_0} = \left[\frac{1}{E(m_t)} \right] - 1$$

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price of a default-free, inflation-indexed, zero-coupon bond:

$$P_0 = \frac{E(P_1)}{(1 + R)} + \text{cov}(P_1, m_1)$$

nominal short term interest rate (r) = real risk-free rate (R) + expected inflation (π)

$$r(\text{long-term}) = R + \pi + \theta$$

where θ = risk premium for uncertainty about inflation

Taylor rule:

$$r = R_n + \pi + 0.5(\pi - \pi^*) + 0.5(y - y^*)$$

break-even inflation rate (BEI):

BEI = yield on non-inflation indexed bond – yield on inflation indexed bond

BEI for longer maturity bonds = expected inflation (π) + risk premium for uncertainty about actual inflation (θ)

required rate of return for credit risky bonds = $R + \pi + \theta + \gamma$

where:

γ = additional risk premium for credit risk = credit spread

discount rate for equity = $R + \pi + \theta + \gamma + \kappa$

where:

κ = additional risk premium relative to risky debt for an investment in equities

λ = equity risk premium = $\gamma + \kappa$

discount rate for commercial real estate = $R + \pi + \theta + \gamma + \kappa + \phi$

where:

κ = risk premium for uncertainty about terminal value of property (similar to equity risk premium)

ϕ = risk premium for illiquidity

active return = portfolio return – benchmark return $R_A = R_P - R_B$

$$\text{portfolio return} = R_P = \sum_{i=1}^n w_{P,i} R_i$$

$$\text{benchmark return} = R_B = \sum_{i=1}^n w_{B,i} R_i$$

$$\text{information ratio} = \frac{R_P - R_B}{\sigma_{(R_P - R_B)}} = \frac{R_A}{\sigma_A} = \frac{\text{active return}}{\text{active risk}}$$

portfolio Sharpe ratio:

$$SR = \frac{R_P - R_F}{\sigma_P}$$

$$\text{information ratio} = IR = TC \times IC \times \sqrt{BR}$$

$$\text{expected active return} = E(R_A) = IR \times \sigma_A$$

“full” fundamental law of active management:

$$E(R_A) = (TC)(IC)\sqrt{BR}\sigma_A$$

Sharpe-ratio-maximizing level of aggressiveness:

$$\sigma_A^* = \frac{IR}{SR_B} \sigma_B$$

portfolio total risk versus benchmark risk and active risk:

$$STD(R_P)^2 = STD(R_B)^2 + STD(R_A)^2$$

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